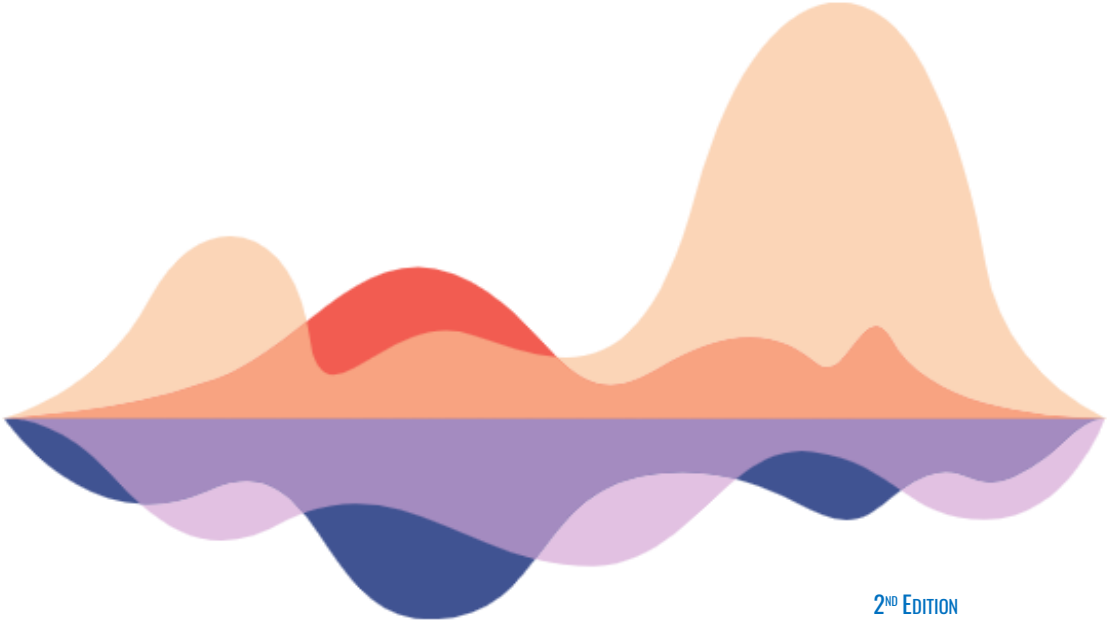
10 Seconds Elliott Wave

The Secret Way to Count Elliott Waves within 10 Seconds or Less



2ND EDITION

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10 Seconds Elliott Wave

The Secret way to Count Elliott Waves Within 10 Seconds or less…

2nd Edition

PREFACE

THE INSIDE SCOOP: UNRAVELLING ELLIOTT WAVES IN A JIFFY

This gem of a book unveils the clandestine art of Elliott Wave counting in a flash – just 10 seconds, to be precise! Kiss goodbye to the head-scratching complexities of this notorious indicator, and say hello to our snazzy, simplified technique. Frustration and confusion? Not on our watch! With just one swift gaze at your chart, you'll be riding the waves like a seasoned pro. Get ready to dive in and surf the markets with ease and laughter!

WHO IS THIS BOOK FOR? THE PERFECT AUDIENCE: YOU, THE SAVVY TRADER!

Primarily tailored for traders with a basic or no grasp of Elliott Waves, this book is your golden ticket to a more precise, objective, and profitable wave-counting experience. Easily adaptable, it's a perfect fit for your current trading strategies and styles.

But wait, there's more! Elliott Wave newbies, fear not – you're in for a delightful surprise. Discover how this seemingly intricate concept is actually a breeze to understand. If you're craving a practical, no-nonsense approach to the Elliott Waves Indicator, then look no further. Get ready to have your mind blown – in a good way, of course!

Investors, Traders or Scalpers

The 10 Seconds Elliott Waves concept can be used by investors, traders, or scalpers. There is no time frame limit. The pattern is universal and can be found on all time frames whether you trade the 5 second chart of the monthly chart.

Why was this book written

The Birth of a Trading Revolution

Why do I cherish this book? Simple – it's a game-changer! Say hello to an idea that will forever transform your trading experience. This book is the answer for Elliott Wave enthusiasts tired of its subjective, maddening nature. We've stripped away the complexity and delivered a straightforward solution.

How could I not love the very concept that revolutionised my own trading and life? Spoiler alert: it's bound to do the same for you!

Why I'm Head Over Heels for This Book

This book holds a special place in my heart, and for good reason! It introduces a groundbreaking idea that will forever reshape your trading world. Designed for traders smitten with the Elliott Wave Concept but irked by its subjectivity, this book simplifies the process and banishes frustration.

How could I not be smitten with the very concept that revolutionised both my trading and life? Trust me, you'll be head over heels for it too!

The Humble Beginnings: The First Edition

Once upon a time, this book was merely a personal reference, a trusty sidekick to jog my memory. I only shared it with my close trading pals, and we'd gather in our Skype Live Trading Group at the London Open, chatting and trading in harmony. Little did I know, the book and its concept would soon become the cornerstone of our trading philosophy.

A decade ago, in 2010, I penned the first edition, blissfully unaware of the popularity it would gain. My Elliott Wave knowledge was elementary, but in a twist of fate, this proved to be a blessing. My limited understanding drove me to strip away the complexities of the Elliott Wave Theory. Sure, the concept appears intricate, but it's simply a matter of a mental shift. Once that light bulb flickers on, everything falls into place like a perfectly orchestrated symphony.

The Sensational Second Edition

Time's been our wisest mentor, and after a decade of applying this concept, we've refined our technique to perfection. Along the way, we've uncovered new patterns, streamlined solutions, and deepened our appreciation for this exquisite concept.

The second edition serves up these fresh ideas on a silver platter. Whether you're a first edition veteran or new to the party, this book has you covered. With more visuals and an enhanced layout, prepare to have your mind (and trading style) flipped on its head – for the better!

As an added bonus, we're sharing a trading strategy you can adopt as is or seamlessly blend into your existing approach. Our success with this concept has been nothing short of extraordinary, and now it's your turn to revel in its power.

So buckle up, enjoy the ride, and may this concept serve you well. Without further ado, let's dive in!

AIMS Stress Free Trading

Make Money in the Forex Markets

Birth of the AIMS Stress-Free Trading Tribe



Once upon a time, a group of fed-up traders joined forces to combat scammers and phoney system peddlers. These dozen trading renegades banded together on Skype, trading side by side each day. As word spread like wildfire, others clamoured to join the crew, ultimately sparking a blog, a community forum, and a membership area.

The AIMS Stress-Free Trading Community's methods are rooted in the Science of Chaos. They started with a celebrated strategy, renowned for its long-term time frame success. Our AIMS heroes adapted, tweaked, and fine-tuned this gem to cater to their own needs – and so, a legend was born.

The Author

Hey there, *I'm Immy Yousafzai* – Forex Trader, Entrepreneur, Trading Mentor. I'm the brains behind iTradeAIMS and AIMS Stress Free Trading.

Flashback to 2009: I had my first baby girl. She's the reason I embarked on my Forex trading adventure. You see, I yearned to watch her grow up – every day, all day. I wanted to play, care for her, and cherish every moment together. To make that dream a reality, I needed to find a way to make money from home.

In 2010, under a tree symbolising love, peace, and growth, I penned the first edition of this book. Nestled at the foothills of the Himalayas, with nature as my muse, inspiration flowed like the river beside me.

For a decade, this *Secret Weapon* remained under lock and key, never given away for FREE – that's how much it means to me. The timeless concept, first introduced by Dr. Williams (RIP), is here to stay. While the core concept remains unchanged, I've revamped the format, style, and added fresh techniques. The result? A masterpiece ten years in the making.

Throughout the past decade, I've crafted systems focusing on profitability, reliability, and simplicity for myself and clients worldwide. This versatile, time-proof concept uncovers a hidden pattern spanning the entire universe – no joke!

I've spent the last ten years trading and reaping the rewards of this simple concept. Sharing and teaching it to my beloved AIMSters has been a joy. Now, it's your turn! Seize this opportunity to learn the secret of counting Elliott waves in 10 seconds and watch your profits multiply. With great pleasure and honour, I welcome you on board!

About the Book

In this book you will discover **The Three Secrets** of trading success.

If you are losing money, using this principle will not only make you stop losing, in fact you will start to make money and **double, triple even quadruple your profitability**. But it does not end there.

Since you are reading this book, chances are you are already aware of the efficacy of Elliott Wave. You know that the market moves in waves. If not, then this book will enlighten your world with the illuminating light of the beauty of Elliott Waves Concept. You will have a paradigm shift. Once you understand this concept you will never see charts the same way again.

Basically, this means that once you understand this **simple concept, you will**;

- Armed with this simple concept, you'll:
- Pinpoint EXACTLY where the market stands,
- Instantly identify the current wave, and
- Swiftly decide whether to trade or sit tight.

All it takes is a single GLANCE at the chart.

You'll predict the near future with an astonishing 80% accuracy – in under 10 seconds! Sounds too good to be true? Just you wait; I'll prove it.

But wait, there's more! You can further refine your results and skyrocket your profits by a staggering 466%.

We've got this awesome method for tackling the forex market and indices, backed by three cool strategies.

The 10-second Elliott Wave concept boosts our profits, amps up our confidence, and keeps our trading game organised.

Win more, lose less, and watch your account grow! Get ready to rock Trading Chaos using the science of market fractals.

I'm stoked to share this "Knowing" with you, so you can achieve amazing success in trading and life!

CHAPTER 1

INTRODUCTION

By the time you're done reading this, you'll learn:



Secret #1: A little-known market secret that'll change your perspective forever.

Secret #2: Uncover the market's best-kept secret and the sneaky indicator we use to reveal it.

Secret #3: Master the quick and easy secret method for counting waves accurately in 10 seconds or less.

Let me give you a quick intro to this "factual belief" that's become a part of my mindset. It's brought me trading success, happiness, and peace of mind.

If you're sceptical, that's cool – scepticism is a great trait for traders. I'll be honest, I didn't buy into this idea right away either. But after seeing its power time and again, I couldn't deny its effectiveness. The more I traded, the more I realised its potential.

So, I admit it took me some time to really get it. That's why I'm explaining it here. I've mastered this skill through hands-on experience and focused practice. You can't simplify a concept without first gaining a deep, practical understanding.

Becoming a 10-Second Expert

You've probably heard of the 10,000-hour rule: to master any field, you need 10,000 hours of deliberate practice. Malcolm Gladwell explains this in his book "Outliers," claiming the key to success lies in practising a specific task for 10,000 hours.

Whether it's 20 hours a week for 10 years or 40 hours a week for 5 years, I've applied this secret since discovering it in 2009. My understanding of the concept has grown so much that I'm proud to call myself an "Expert" in this field.

I assure you, I'm considered an expert not because of complex counts, but because I can do an amazingly simple count—and I can teach you how to do it too!

It's not like I just embraced the "Expert" title. It's the people around me—my followers and close friends—who convinced me that I truly know a lot about this field.

I analyse the market from this perspective, creating video tutorials for my members that I'll share with you.

Now you might wonder why I keep emphasising my "expert" status. The reason is simple: because I know this field so well, I've developed a much simpler technique for counting and explaining it to you. What gives me real joy is sharing this "knowing" with you, as that's what *truly makes me happy.*

Looking for a Quick and Simple Way?

I know you're reading this book because you want a quick and simple method for counting Elliott waves. Like me and the AIMSters, you're probably fed up with those complex wave counts plastered all over trading forums, or you just want a better way to understand the market.

Well, you've come to the right place! I'm going to show you a straightforward way to count waves without getting lost in the maze of endless counts, and even better, you'll be able to profit from this concept.

And for those who don't want to dive deep into Elliott Wave, don't worry—I won't bore you with excessive details.

Simple and Effective

My motto is to "Simplify, Simplify, Simplify" and to "Keep It Simple, Stupid" (KISS). Just bear with me a bit longer as I unravel this secret for you.

First, let me assure you that you can learn to trade Elliott Wave without delving deep into the Elliott Wave Theory. Even better, you can trade and boost your profitability by over 466% using this concept.

Why? Because we've found a cooler, simpler way to count Elliott waves. We (and by "we," I mean the entire AIMS trading

community) have been applying this concept in our trading for the last 10 years with remarkable success.

I get that Elliott Wave is a complex concept. I too once steered clear of it due to its complexity, and that went on for years. Until one day, it all clicked. I discovered the first secret that I'm going to share with you.

Exclusive Insight

We're not diving into a lengthy, intricate explanation of Elliott Wave. Instead, we'll focus on acquiring an "exclusive" insight—a simplified version of the complex theory. Surprisingly, this simplified approach is just as effective, if not more so, than the complicated version. It's all about leveraging the 80/20 rule.

That's right! I'm here to simplify it for you.

CHAPTER 2
THE POWERFUL SECRET #1

- Is the Universe a Big Chaos?
- What is the Hidden Secret of the Market?
- What is Randomness and Order?

There are 5 points in this section.



Secret #1 is what I'll be sharing with you right here. Are you ready to dive into these 5 key points? If yes, keep reading, and I promise you won't be disappointed.

> *Warning: Brace yourself, as I'm about to get a tad technical. But hang in there, and I promise that by the end of this, you'll emerge as a gleaming, freshly-minted silver penny! Alright, let's do this!*

Is the Universe Chaotic?

Get ready for some fun, folks! We're about to dive into the wavy world of waves within waves within waves. You know, like the never-ending layers of lasagna. Yum.



So, when you glance at nature, it looks all random and stuff, right? Like when you spill a glass of water (I mean, who hasn't?). What wacky shapes does it make? Can you recreate that exact splashy masterpiece next time? And would it even be the same spot?

You might be thinking, "Well, it depends on where and how I spill the water, and what kind of funky dance floor it lands on." True, true. But even though every spill is a unique snowflake, they all look kinda-sorta similar, don't they?

Take a look at the people around you (not in a creepy way, though). They're all unique, just like those water spills. Even twins have their differences, and no two clouds, trees, or leaves are ever completely identical.

Why is that, you ask? Well, it's all thanks to the mysterious, hidden structures governing everything in the universe, from tree growth to your cousin Larry's fashion choices. And, believe it or not, the market is no exception. It may look random, but it's actually a product of human behaviour, with its own secret structure.

Everything in this big ol' universe has a structure, and while they might be playing hide-and-seek, we can still find them. Phew, glad I got that off my chest! Now, buckle up, because in this book, I'm going to prove to you that the market definitely has a structure. Let the wild ride begin!

The Market's Got Structure? No Way!



You might be scratching your head, thinking, "Hold up, does the universe really have a structure?" And the answer is a big ol' YES! But the geometry we learned in school, Euclidean geometry (thanks, Euclid!), isn't quite up to the task of measuring this wild world. You see, Euclidean geometry is all about straight lines and perfect spheres.

Now, picture this: can you measure the edges of a leaf with a straight ruler? Nope, not happening. Because these shapes are all "random."

So, what's the deal with randomness, you ask? Let's find out!

Randomness: Chaos or Hidden Order?

Randomness is like a wild party with no set schedule - events seem to lack any pattern or predictability. A random sequence of events, symbols, or steps just goes all over the place without a clear pattern or logic.

Sure, individual random events are "unpredictable" by definition. But get this: when you look at lots of events together, you start to see some patterns emerge. (Kinda like spotting a familiar face in a crowd.)

Take this example: when you toss two dice, predicting the outcome of a single roll is like trying to guess what colour socks your neighbour's wearing. But over many rolls, you'll see that lucky number 7 pops up twice as often as that pesky 4.

So, the market might seem like a total roller coaster ride, but beneath the surface, there's a hidden order just waiting to be discovered.

There is a Secret to understanding the market in the above observation.

In this view, randomness is a measure of uncertainty of an outcome, rather than haphazardness, and applies to concepts of chance, probability, and information entropy. [1]



After centuries pondering whether we are fortune's fools, we are still struggling to work out if the cosmos is predictable or ruled by chance[2]

"OH, I am fortune's fool," says Romeo. Rest easy, lover boy; We All Are.

Hidden Order Beneath the Chaos

I get it, at first glance, the market looks as random as a cat chasing a laser pointer. But, what if there's a secret structure hiding underneath all that apparent chaos? Imagine if we could crack the code and navigate our way to profit-town!

I know, it sounds a bit bonkers. After all, charts can look like a wild scribble of a toddler. But bear with me, because there's more to it than meets the eye.

Even though the universe looks like a big, chaotic mess, there's actually a hidden order beneath it all. Straight lines, boxes, and perfect spheres? Those are rare, my friend. The Earth isn't even a perfect sphere! Riverbanks, clouds, and galaxies all seem random, too.

But don't let the messy surface fool you. Underneath all that disarray, there's a secret structure just waiting to be uncovered. And we know how to reveal it.

Structure within Randomness

The apparent randomness has a higher form of organisation inside it. That is what gives it a structure. This was found by the science of chaos, the chaos theory[3]. **It has discovered that the universe is not random.**

The universe is organised into a **Higher Form of Order**. This higher form of order requires diverse types of measurement techniques. The universe is not “linear”. One needs to use non-linear geometry to understand the structure of the universe.

In short, the science of chaos found that there is another way of measuring randomness that was discovered by Benoit Mandelbrot, and he called it the **Fractal Dimension**. In doing so he found out the fractal number of the Mississippi river[4] . He then compared it to three other rivers, and guess what? It was 1.2610 for all the rivers he checked. Later he checked the Fractal Numbers of Commodity Charts and surprise, surprise!!!



The Fractal number of the markets was almost exactly the same number. THIS IS HUGE if you understand it.

The day I found this; I did not sleep that night.

Let's Play a Little Game

Hey, wanna play a quick game with me to prove a point?

It's called the **Chaos Counting Game** and was created by Dr. Bill Williams for his seminar back in the 90s.

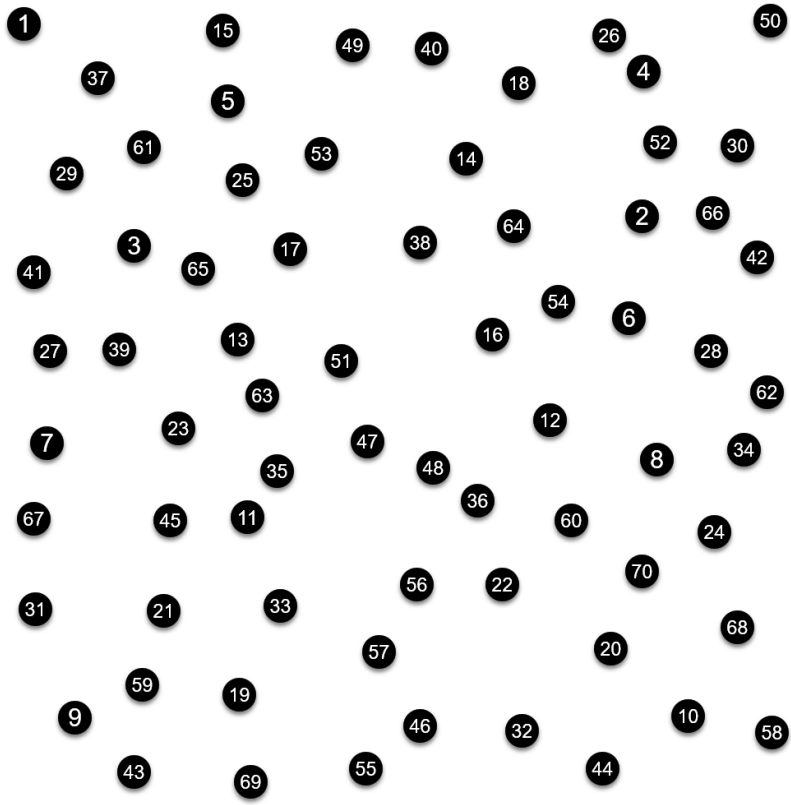
Here's how it goes: I'll show you a figure with numbers from 1-70 scattered all over it, and your task is to find all the numbers from 0-70 in under a minute. Ready to give it a shot?



Chaos Counting Game

It is a simple task, find the numbers from 1 to 70 and see how long it takes you or how far you go within the allocated time.

> **Hint:** Number 1 is at the top left corner.



Okay. so, the minute is over.

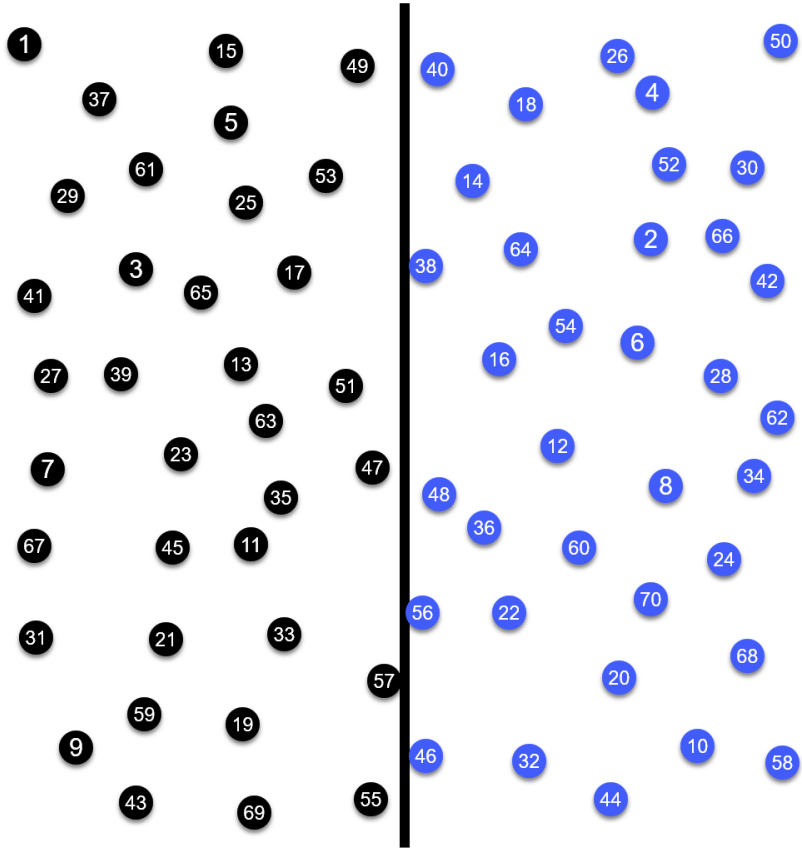
Were you able to find all numbers within 60 seconds? If not, then what was the last number you found? Make note of your time or final count.

Chaos Counting Game: Round 2

Now I will reveal additional information which will improve your performance.

> **New Hint:** All the odd numbers are on the left half of the page and the even numbers are on the right half of the page.

Now that you are armed with “New Information” let us count again and find out if the added information helps improve performance. Time yourself again and see how far you go this time.



Ok! Cool. Were you able to improve your count? Did you finish it all the way till 70? And if yes, did you do it faster this time? Perhaps you did it in under a minute? If not, that is ok too. The point is whether your count was more efficient after acquiring additional information.

Chaos Counting Game Round 3

Let us do this one last time. Now how about making it even faster? Sounds good?

Now let me give you some further “NEW INFORMATION”. I have divided the page into 4 quadrants. Although it is the same picture, this added information will change your perspective, once again.

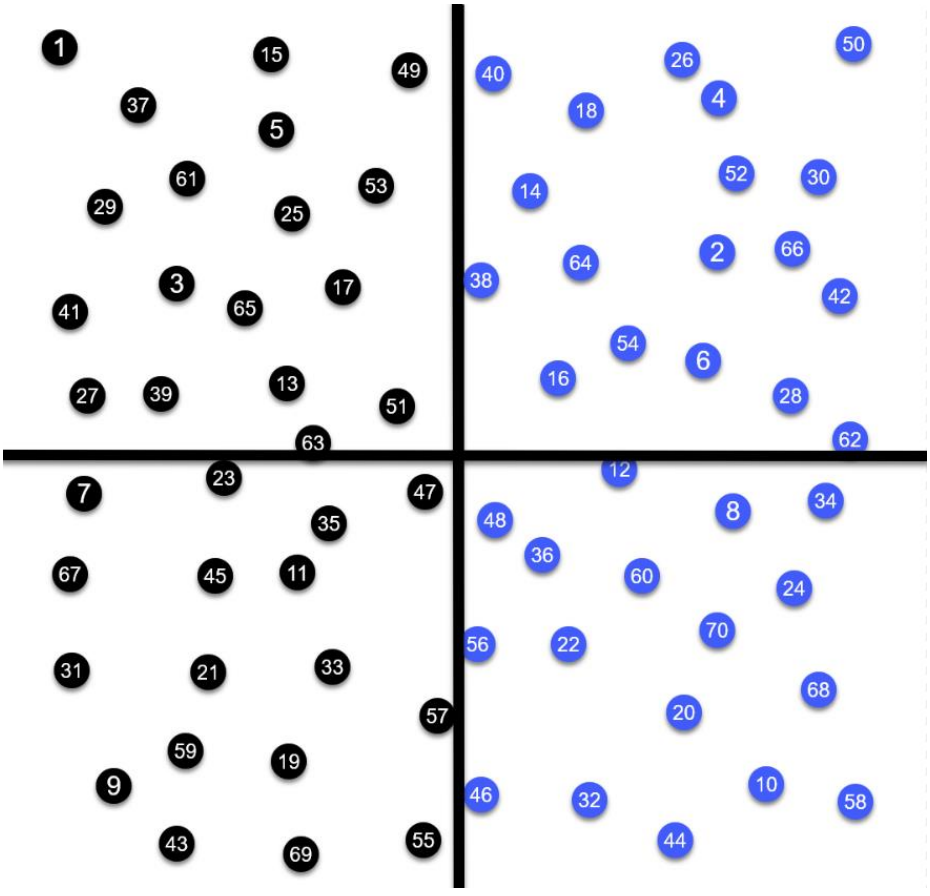
You already know that all the odd numbers are on the left side and even numbers are on the right side.

> **New Hint:** You will find Numbers 1-6 in the upper half above the Horizontal Line.
>
> Numbers 7-12 are in the lower half, and so on.

Let us apply this information and count one last time.

Remember: (Image on next page)

1. Odd Numbers are on the Left
2. Even Numbers are on the Right
3. Numbers 1 to 6 are in the upper half which means number 1,3 and 5 are in the top left quadrant. Numbers 2,4 and 6 are in the top right corner.
4. 7-12 are in the bottom two quadrants. Which means, number 7, 9, 11 are in the bottom left quadrant. And 8,10,12 are in the Bottom right quadrant. START



Okay, so the minute is over and I bet you have counted much faster. You have reached either all the way to the end or have significantly improved your count, Am I right?

Because the third time you were armed with extra information. You knew that Even Numbers are on the Right and Odd on the Left. You were probably not looking for each number on the entire page. Instead you looked for a number within 1⁄4 of the area of the figure. This would have reduced your search parameter significantly. Which resulted in improving your performance.

Now the question is, how did this happen? Why were you able to count faster?

The Answer is that it was possible because you “revealed” the **Hidden Underlying Unseen Structure.**

The numbers must have looked random at first. Later you found out that there were **3 Hidden Patterns** underneath the randomness.

It looked like a random set of numbers but by stage 3 you had discovered the **“underlying hidden structure”.** And so, after you found the structure, you were able to manoeuvre your way to the next number much quicker.

During Stage 1, you must have thought that number 2 could have been anywhere on the page. But by stage 3, you knew that the only place to look for Number 2 was the Top Right Quadrant. Right?

Because number 2 is an even number, it must be on the right of the vertical line. You also knew that the numbers 1 through 6 were

located above the horizontal line, you looked for Number 2 in the top right quadrant only.

You knew where to look for the next number. You knew which quadrant had your next number. Each time you looked for the next number you ignored or filtered ¾ of the area. Making your job much, much easier and faster.

CONCLUSION

What is the purpose of this exercise? What did you learn from this little game?

Allow me to reveal another layer of information to you. We have found that the **Market May look random**, but it has an **Underlying Hidden Structure.**

Underneath the naked charts there are patterns that repeat themselves.

Do you know what the Structure of The Market is? Can this Hidden Structure be Revealed?

Absolutely. We know how to do that. And I am here to share with you How You can do that too.

We have found a simple method to “REVEAL” this structure.

So, would you like to learn this FASTER, QUICKER, EASIER method?

THE STRUCTURE OF THE UNIVERSE

The market is a natural phenomenon. We are all part of nature. Everything in the universe follows a certain pattern. So, basically, it is evident to us that

1. Everything in the Universe is energy.
2. Energy always follows the path of least resistance.

3. Everything in the universe has an underlying hidden structure.
4. The momentum and speed of energy depends on the Underlying Structure.
5. The Underlying structure is often hidden and unseen.
6. Thankfully, we can “reveal” the hidden secret and use this information to make better trading decisions and make more money.

So, now that you know this, can you guess, **what is the Structure of The Market?**

CHAPTER 3
BACKGROUND OF ELLIOTT WAVES THEORY

- The First and 2nd Era of Elliott Wave
- Can you predict the future?
- The Biggest problem with Elliott Wave Gurus

Let us now learn a bit more about the Elliott Wave Theory

ELLIOT WAVE – 1ST ERA

Elliot Wave: The Chaotic Cha-Cha of Stocks 🕺

Price charts? More like a wild scribbling contest, right? But wait, our hero Ralph Nelson Elliott spied order amidst the chaos!

In the roaring '20s, Elliot dug through 75 years of stock data (talk about a stock-a-thon!), and lo and behold, he found that markets didn't move like a hyper kid on a sugar high.

Enters The Wave Principle (Book by Mr. Elliott) 🌊 - a bestseller that revealed the secret sauce. Market movements were actually rhythmic cycles, driven by investor emotions, and Elliott found the dance moves to predict their groove.

Up, down, up again - these "waves" were the market's dance routine. And if you can master the steps, you'll know where the market's cha-cha is heading. So, buckle up and ride those waves! 🏄

What do you see when you look at a price chart? It looks like noise, random lines going up and down without a pattern. A perfect example of “chaos”.

Ralph Nelson Elliott

discovered that stock markets did not move in a “chaotic” random manner. It was thought that markets behave in a somewhat chaotic manner. He found out that it did not.

That was back in 1920 when he analysed closely 75 years’ worth of stock data. In other words, the **Market looks random, but it is not so.**



He published his theory in the book entitled The Wave Principle.

According to Elliott, the market traded in repetitive cycles, which he pointed out were the emotions of investors caused by outside influences or the predominant psychology of the masses at the time.

Elliott explained that the upward and downward swings in price caused by the collective psychology always showed up in the same repetitive patterns.

He called these upward and downward swings "waves". And we still call them waves.

He believed that, if you can correctly identify the repeating patterns in prices, you can predict where price will go (or not go) next.

Note this because it is a Really Powerful Point. Where is Price going?

Can You Predict The Future with Elliott Wave?

The prime objective of most traders seems to be the ability “to predict the prices”. [5]

Elliott Wave: Your Crystal Ball to Market Moves

Want to predict the future like a trading psychic? The Elliott Wave theory might just be the secret recipe you need! 🔮

Every trader dreams of knowing where the market is headed - it's like the holy grail of trading. And that's what makes Elliott waves so darn irresistible. They give you the power to spot those magical points where price reversals are most likely. It's like having a map to hidden treasure! 🏴‍☠️

With Elliott's genius, you can catch those elusive tops and bottoms, turning your trading into a well-oiled machine.

Amidst the market mayhem, Elliott uncovered harmony, a cosmic order of sorts. And thus, the Elliott Wave Theory was born - your trusty guide to navigate the wild seas of trading.

Elliott Wave Conundrum: Juggling Tops and Bottoms

Hold up, folks! Before we dive deeper, let's address the elephant in the room: The Fundamental Problem in Elliott Wave Theory. 🐘

This pesky issue is what causes traders to lose money, and we'll unravel it in the next act. For now, remember this tantalising teaser: it's all about juggling those tops and bottoms.

But wait, there's more! Coming up: The Fractal! What is this mysterious creature, and how is it linked to Elliott Wave? Stay tuned to find out!

Elliott Wave 2nd Era

The first Era of Elliott Wave almost disappeared, and nobody knew about it until someone dug a little deeper during the 70's.

Robert Prechter: The Wave Whisperer

Meet Prechter, the American author and stock market soothsayer, who's been dazzling Wall Street with his Elliott Wave prophecies. With 14 books under his belt, his 2002[6] bestseller Conquer the Crash had traders chanting his name.

His analyst adventure kicked off in 1975 at Merrill Lynch, learning the ropes from the masterful Robert Farrell. It was here that Prechter stumbled upon the enigmatic Elliott Wave Principle, and he was hooked! 🎣

Like an intrepid treasure hunter, Prechter uncovered R.N. Elliott's long-lost wisdom, buried deep in the archives of the New York Public Library. He realised that the stock market was all about mass psychology, and the Elliott Wave Principle held the key. 🔑

Enter the 2nd Era: Prechter blew the dust off Elliott's works, reviving the Wave Principle for a new generation of traders and investors. And thus, a legend was reborn!

Bill Williams: The Maestro of Market Mayhem 🎼 (RIP)

Introducing Bill Williams, an American trader, physicist, and author-extraordinaire whose Trading Chaos 1, 2, and New Trading Dimensions brought the hidden gems of Chaos Trading to light. 🔦 His keen eye for stock market data led to groundbreaking technical analyses that would forever change the financial landscape.

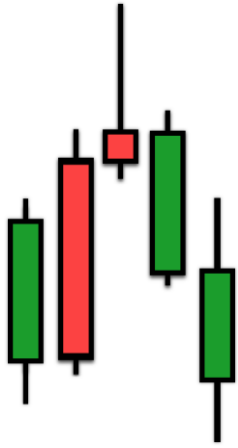
As the founder of Profitunity Trading Group in 1984, Williams was a trailblazer in blending trading psychology, technical analysis, and chaos theory for stock and commodity markets. He also crafted the Alligator Trading System, boasting the Elliott Wave Fractal, the MFI, Wiseman Indicators, Super AO indicator, AC indicator, and the jaw-dropping Profitunity Alligator indicator. 🐊

Williams' pièce de résistance? A snappier, speedier way to count Elliott waves – just one glance at the chart, and you're in the know!

This book unveils the secrets to mastering his lightning-fast method. ⚡

CHAPTER 4
THE FRACTAL

- What is the Fractal?
- Fractals and Elliott Wave Connection
- A Very Important Concept



Before we understand the Elliott waves theory further, we need also understand what the Fractal is**.**

Why? We discovered that the structure of the Market has a Fractal Geometry. The structure of the market is Elliott Wave.

Go one step lower, dig deeper and you will find something inside the Elliott Wave. The Elliott Wave sequence itself also has a structure. And that is what we call The Fractal of The Market.

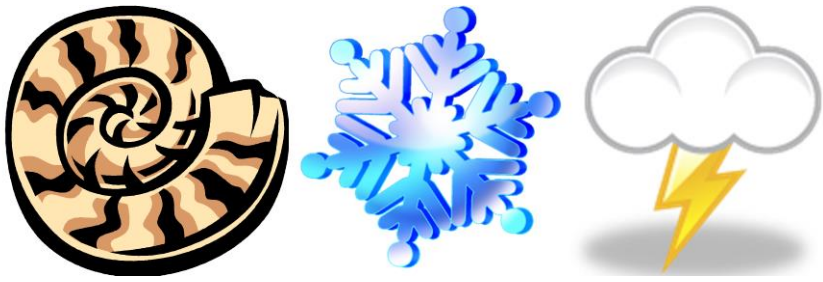
So, lets learn more about the *Structure of the Structure of the Market i.e. The Fractals of The Market.*

What is a Fractal? Some sort of Self-Similarity?

Fractals, those sassy little rascals, strut their stuff by flaunting the same patterns at itsy-bitsy scales - they're like the divas of geometry! You could say they're into self-love, since they're made up of mini-me versions of themselves. So, they're basically a case of "I like me, so I'll make more me!"

In a nutshell, fractals are like cosmic photocopies, breaking into parts that are eerily similar to the original - talk about a cloning craze! Mathematicians, those party animals, like to call this fab feature "self-similarity."

And guess what? You don't have to embark on a wild goose chase to spot a fractal - just take a look in the mirror, darling! That's right, YOU are a living, breathing, fabulous fractal! It's no wonder you'll find these snazzy patterns strutting their stuff across the universe, from nature's catwalks to the celestial runway.



A seashell is a fractal. A snowflake is a fractal. A cloud is a fractal. Heck, a lightning bolt is a fractal.

You and I are fractals. Even our thoughts have fractals.

STOP There! I hear.

Okay…

The Fractals and Elliott Wave

Oh, those market waves! They're like the world's grooviest roller coaster, always keeping traders on their toes. You could show 10 traders a set of mystery charts, and they'd be baffled, unable to tell the time frame. They'd be like, "Dude, are we riding the wave of the future or surfing the sands of time?" That's because charts are like chameleons, looking the same no matter the time frame. Have you caught that déjà vu while scanning your charts?

The secret sauce? It's all about those Elliott waves, baby! They're fractals, making every chart a psychedelic kaleidoscope of groovy patterns.

Feast your eyes on this challenge: Below is a series of charts of the fab German Index DAX. We've picked 'em at random, but made sure they're all strutting their uptrend stuff. Give 'em a once-over and tell us if you spot any difference. Spoiler alert: the answers are chillin' in the Appendix.

Ready to test your market mojo? Channel your inner psychic and guess the time frames of these charts, ranging from a one-minute

quickie to a monthly marathon. Good luck, and may the fractals be ever in your favour!

Chart 1 – DAX30 [7]



Chart 2 – DAX30[8]



Chart 3 – DAX30[9]

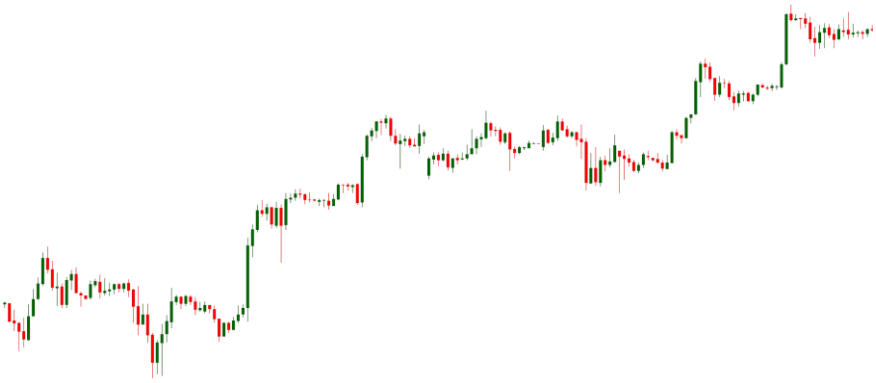


Chart 4 – DAX30[10]

VERY IMPORTANT CONCEPT

The following is the most important message so Pay Close Attention:

The Powerful Secret: Much like seashells and snowflakes, Elliott waves could be further subdivided into smaller Elliot waves.

This brings us to the subject of Fractal Geometry. In the next chapter we shall discuss this fascinating concept. I love it and I am sure you will love it too.

CHAPTER 5
FRACTAL GEOMETRY

- Understanding Fractal Geometry
- Examples of Fractal Geometry
- The Mandelbrot Set and other Patterns.
- The Most Important Point

The principles of Geometry are taught to young students across the world - the Pythagorean Theorem; surface area and volume; Pi. This classical, or **Euclidean**, geometry is perfectly suited for the world that humans have created.

However, if one considers the structures that are **present in nature**, that are beyond the realms of smooth human construction, many of these rules disappear.

- Clouds are not perfect spheres,
- mountains are not symmetric cones and
- lightning does not travel in a straight line.



Nature is rough and until the late 90's the roughness was impossible to measure. The *discovery of fractal geometry* has

made it possible to mathematically explore the kinds of rough irregularities that exist in nature.

In the relatively brief time after its discovery, fractal geometry has informed breakthroughs in numerous areas of science and industry—from biology, to telecommunications, to computer graphics. The depth and breadth of these applications suggest that we have only just begun to scratch the surface of what fractal geometry can teach us.

"Clouds are not spheres, mountains are not cones, coastlines are not circles, and bark is not smooth, nor does lightning travel in a straight line." Benoit Mandelbrot

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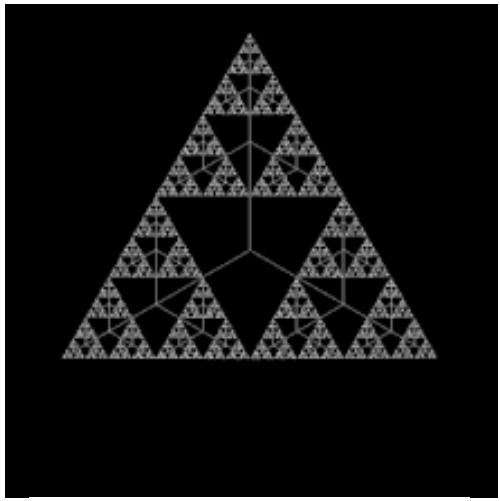
Picture this: the market's like a tipsy dance floor, never grooving in a straight line. If you peek at a price chart, you'll never find that smooth, 45-degree line of growth. Instead, it's a wild, wacky, and wonderfully unpredictable ride - just like a beach's edges or a thunderstorm's zigzag.

That's why your regular, ol' linear geometry just can't handle the market's funky vibes. We need a technique that embraces the chaos, a method that can boogie with the best of 'em. Enter the Science of Chaos, where non-linear geometry and math join the party!

One of these groovy techniques? Fractal Geometry, the ultimate disco partner for the market's chaotic dance moves. So, buckle up, and let's dive into the world of fractals, where we make sense of the market's beautiful mess!

Examples of Fractal Geometry

Meet the Sierpinski triangle, a fractal that's been turning heads since, well, before it even knew it was a fractal! Imagine a snazzy equilateral triangle, getting its groove on by splitting into smaller, equally fabulous triangles - it's like a never-ending nesting doll of geometric glam.



Sierpinski Triangles

At first, this star was just a curve, but it quickly leveled up to become one of the go-to examples of self-similar sets. Oh, you know, just those mathematically generated patterns that keep looking fabulous no matter how much you zoom in or out. Talk about a timeless beauty!

This gem is named after the Polish mathematician Wacław Sierpiński, but let's be honest, it's been stealing the show on decorative patterns for centuries before Sierpiński strutted onto

the scene. So, here's to the Sierpinski triangle - the ultimate trendsetter of the fractal world!

Originally constructed as a curve, this is one of the basic examples of self-similar sets, that is, it is a mathematically generated pattern that is reproducible at any magnification or reduction. It is named after the Polish mathematician Wacław Sierpiński, but appeared as a decorative pattern many centuries before the work of Sierpiński. [11]



Fractals on Romanesco Broccoli



Spiral Aloe Vera

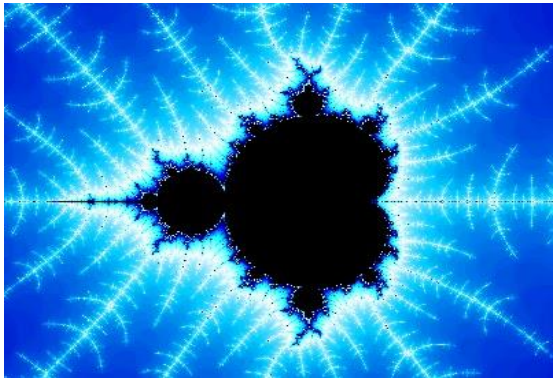
Picture this groovy reality: the market moves in waves, and so does the whole universe! We're all just riding the cosmic surf, part of one humongous, far-out wave.

Now, let's talk time frames. The bigger they are, the bigger the waves. But don't let those massive waves fool you - they're made up of smaller ripples, all just waiting to be discovered. When you shrink the time frames, you'll see those tiny waves just chilling inside the bigger ones, like a wild, wavy matryoshka doll.

So, think waves within waves, and let your mind wander to the magical realm of fractal geometry. The market is a dazzling dance floor where fractals bust their best moves, showing us the interconnected splendor of the universe. Far out, man!

The Mandelbrot Set

This picture of a weird bug is called the Mandelbrot Set.



The Mandelbrot Set

The Mandelbrot set is generated by what is called **iteration**, which means to repeat a process repeatedly.

In mathematics this process is most often the application of a mathematical function. For the Mandelbrot set, the functions involved are some of the simplest imaginable: they all are what is called quadratic polynomials and have the form

f(x) = x^2 + c, where c is a constant number.[12]

Before Reading Any Further, Watch this video on YouTube. Pay attention how the same bug appears inside the border of the bug.

It's never-ending. **The Mandelbrot Set Zoom In**



Also Check – The Eye of the Universe (Zoom Level 10^{1091})

Linear (classical) and Fractal Geometry

There is Linear Geometry and then there is Fractal geometry, which simply means that we live in a universe where things have a specific structure and the parts have the same structure as the whole – microcosms of macrocosms.

The structure keeps repeating itself, self-similarity repeats as **waves within waves within waves.**

Lichtenberg Figures: The Fractal Patterns of Lightning Strike Scars

Picture of a woman hit by a lightning bolt and picture of lightning in the sky[13].



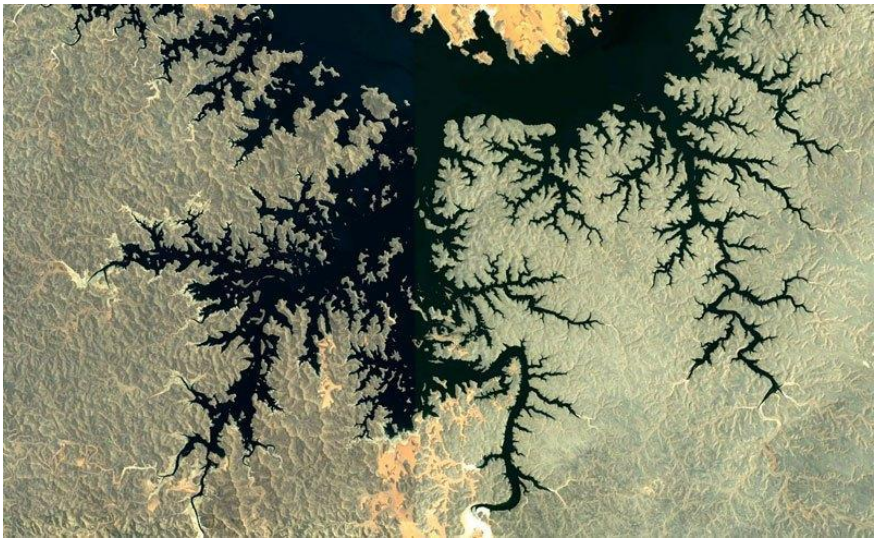


Imagine getting zapped by lightning and ending up with a wicked tattoo that's nothing short of a work of art! Yep, people struck by lightning often sport burn marks that resemble fractal patterns. And guess what? These groovy designs look just like those

electrifying lightning fractals up in the sky. It's like Mother Nature's way of giving you a matching outfit with the cosmos!

So, next time you see a lightning bolt light up the night, remember that those fractal patterns are not only decorating the sky, but also leaving their flashy marks on some truly electrified individuals. Talk about a shockingly stylish connection!

Fractal Patterns in Nature Found on Google Earth. Why do they resemble lightning patterns? [14]



The Most Important Point

The whole universe and everything inside are Fractal Geometric.

Just like the Mandelbrot Set and the other fractals found in nature, the Fractal Geometry of Elliott Waves works in the same manner. There are waves within waves within waves. There is fractal within a fractal within a fractal. In other words

There is an Elliott Wave within an Elliott Wave within an Elliott Wave [15]

Elliott Wave Pattern on Multiple Time Frames

If you start off from a monthly chart and work your way down to a one-minute chart, you will see that the Elliott Wave sequence repeats itself over and over. All the time frames look the same.

CHAPTER 6
THE 5 - 3 WAVES PATTERNS

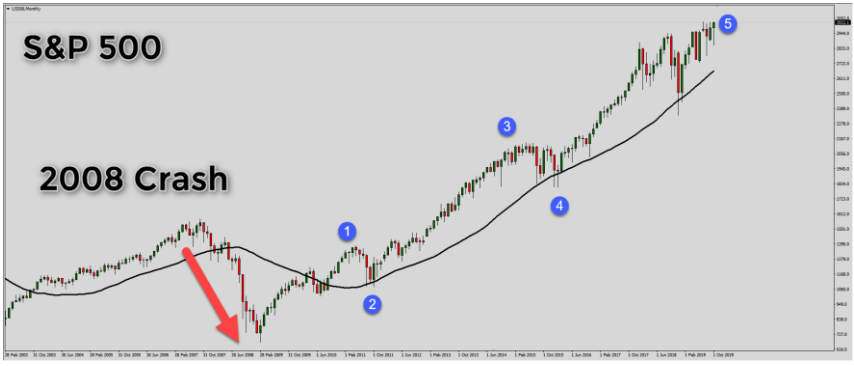
- Introduction to the 5-3 Waves
- The Two Types of Waves
- Imagination time

Mr. Elliott showed that a trending market moves in what he calls a 5-3 wave pattern.

Let us imagine for now that markets only trend in one direction.

"Imagine for a moment that the Market is ONE BIG GIANT Wave that ALWAYS remains in an Up-Trend"

So, having that assumed, let us first look at the 5-wave impulse pattern. **It is easier if you see it as a picture**:



If you could imagine that the market only goes up i.e. it remains in a Bullish Trend Only. That would mean it would only create a huge up trend. Just like the Giant Bullish Trend we see on the US Indices that started at the bottom of the financial markets crash of 2008. Have a look at this chart.

Edit: The market has crashed massively after the 5th wave was completed before I finished editing this 2nd edition

Notice that the chart above Hit the highest highs of all time and then sadly something had to happen. It is the law of the universe that “Growth is never linear”. It is never unidirectional. There are always many bumps along the way.

One such hiccup happened in the shape of Covid-19 Pandemic. As I write we are still 2 months into it. Still isolated, locked in our houses. Meanwhile the stock markets dropped massively. The following figure shows the above chart of S&P500 5 months later. April 2020.



Two Types of Waves

There are two types of Waves. The waves that are responsible for change or growth are called Motive or Impulse Waves. These waves are usually followed by a corrective wave which goes in the opposite direction.

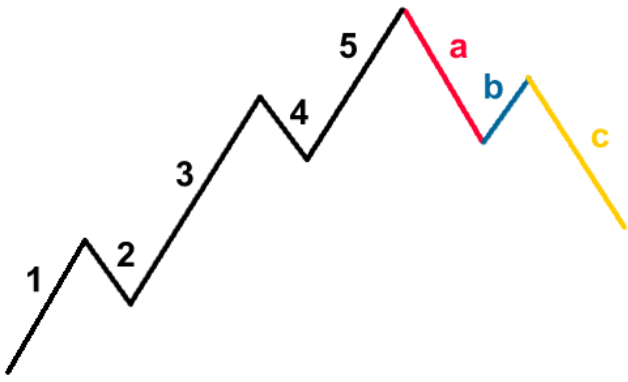
Impulse Waves

The first 5-wave pattern is called an impulse wave. In this pattern, Waves 1, 3, 5 are impulse, meaning they go along with the overall trend, while Waves 2 and 4 are corrective.

What it means is that the market moves up in counts of 5 waves.

If you pull out your current charts, the above chart is telling you that something like the Covid-19 pandemic will bring a Huge Corrective wave into this chart. And this is what happened this year. Could you have predicted that using this concept? Absolutely YES!

E.g. you saw a wave on a chart and the price went up by 120 points. It will not go straight up from point a to b. Instead it will go up then pullback a bit and then go up again.



Wave 1 goes up by 30 pips. Total growth at this point = 30 pips

Wave 2 goes down 15 pips (30-15). Total growth down to 15 pips.

Wave 3 shoots up by 80 pips (making it the biggest wave). Total growth now 15+80 =95 pips.

Wave 4 goes down against the growth of wave 3 by 40 pips. Total growth down to 55 pips (95-40), this is followed by a wave 5 impulse wave.

Wave 5 goes up again by 60 pips making Total growth of **115 pips.** (55+60)

Note: Although there was a Total Growth of 115 pips it did not happen in a straight line. There were 3 growth periods and 2 periods of shrinkage.

Corrective Waves:

After the first 5 waves sequence and 115 pips of gain it will be followed by 3 waves *mini correction trend down*. This correction trend is counter to the main trend. This last 3-wave pattern is called **corrective waves**.

 **Wave A** goes down 20 pips. Total growth down to **95 pips** (115-20).

 **Wave B** goes up by 10 pips. Total growth is now up at **105** again.

 **Wave C** goes down again by 20 pips. Total growth down to **85 pips.**

NOW IT IS TIME TO USE YOUR IMAGINATION…

Imagine this sequence of 5 up and 3 down. And ZOOM IN or ZOOM Out like the Mandelbrot Set video that follows

WATCH IT NOW



And if you could picture it you would be able to zoom in on the Wave 3 , inside you would see this sequence of 1-2-3-4-5 up, ABC down, then you would zoom in on the 3 again and you would see it again. Then again, on another smaller 3, zoom it in, see it again and so on and so forth.

Likewise, if you focus on each Wave 4, you will see a pattern of ABC.

CHAPTER 7
THE 1ST PROBLEM WITH ELLIOTT WAVE THEORY

- The 1st Problem of Elliott Wave
- The Online Wave Gurus

Ah, the Elliott Wave Concept - it's like the secret sauce that helps us understand the market's wild dance moves. But here's the catch: those market gurus, the Elliotticians, have made it a tad too complicated for us mere mortals. Let's face it, us ordinary traders don't have the time or the Einstein-level brainpower to untangle that complex web of analysis.



We just wanna make some moolah without spending forever trying to decode those wavy enigmas, am I right? Fear not, my fellow traders! I've got your back with a simpler, more effective way to count those Elliott waves.

Now, don't get me wrong - Frost and Prechter's book "Elliott Wave Principle" is a thrilling read, but it's a bit like trying to crack the Da Vinci Code. You'll need months, or even years, to really wrap your head around it. I mean, just take a look at this pic from one of the pages - it's like a labyrinth of lines!

So, buckle up, my friends, and let's take the Elliott Wave for a spin, the easy way!

The Elliott Wave Concept explains the structure of the Market. But there is a problem, Elliotticians, the Gurus of the market, have made it extremely hard for the layperson. The ordinary trader like you and I do not have the time or brains to do this complex analysis.

We want to make money and not spend endless hours trying to get the count. Right?

E.g. just look at this picture of one of the pages of the book.

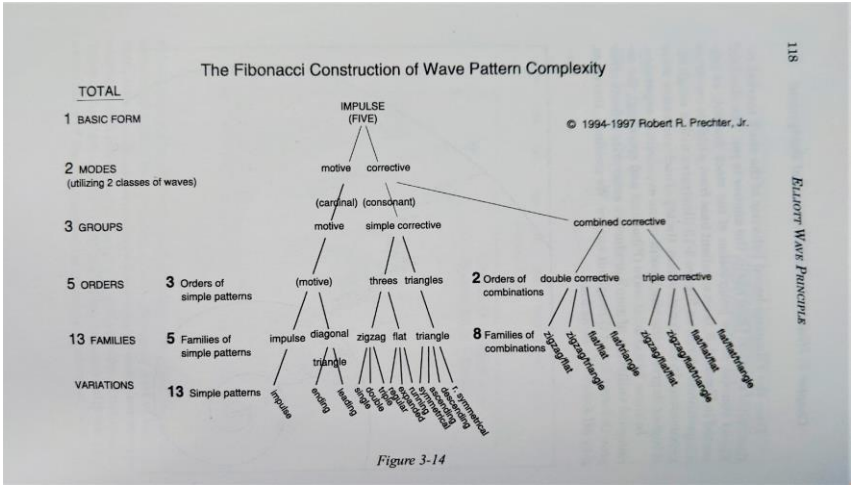


Figure 3-14



Moreover, if you look online, the Elliott Gurus will destroy your neurons. Chart below

I do not like that one bit. “What in the name of holy “count” is this?”



Delete this picture immediately. I do not want to see this ever again.

If you are like me then don't you worry. **I have learned a BETTER easier way** to count the waves and **“<u>actually” make money from this concept.</u>**

Later in the book you will learn about the 2nd Problem of Elliott Wave. This 2nd problem destroys your profits like a giant explosion. This problem is the sole reason 99% of Elliott wave traders lose money. So, keep reading, there is plenty more to come…

CHAPTER 8
ELLIOTT WAVE SIMPLIFIED

- Bullish (Up) Waves
- Bearish (Down) Waves

The Elliott Wave Theory is interpreted as follows:

First let us assume the market moves up. So, let's assume the Apple Chart, the EUR/USD or the S&P500 chart is gaining, that is rising in a Bullish Trend. So, it would look like this …



This is where the Elliott Wave specialist would tell you that it is highly probable that the market either needs a strong correction or a reversal. I agree.

Every action is followed by a reaction. [Base Assumption]



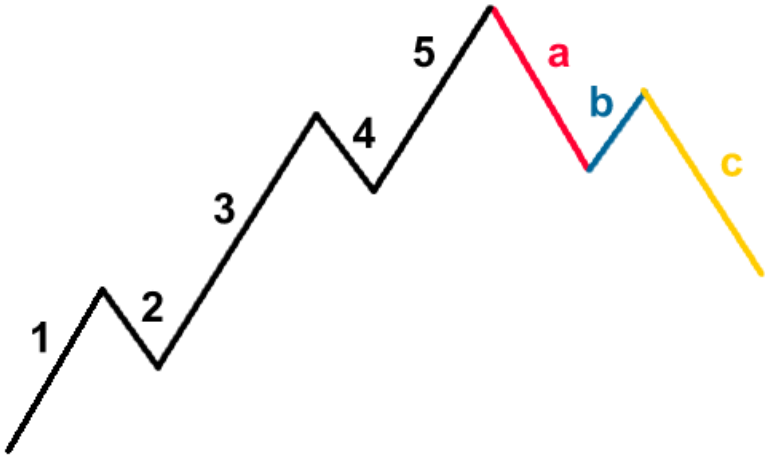
Bullish Waves



1. Market spends most of its time going sideways before it breaks out.
2. Then the Market Breaks out above the highs of the range or consolidation. When that happens, it tends to gain momentum in that direction, a strong bullish trend is formed.
3. That first break usually moves in a sequence of 5 Waves.
4. Out of the 5 waves the first, the 3rd and the 5th waves go Upwards while the 2nd and 4th waves go downwards.
5. The 2nd and 4th waves are smaller than the 1st, 3rd and 5th waves.

6. The 5 Wave Bullish sequence is then followed by the Reaction and that reaction usually has 3 waves sequence that goes downward.
7. Within the 3 waves downward sequence (marked as "ABC") the first wave is wave **"a"**, 2nd wave is wave "**b**" and 3rd wave is wave "**c**". Wave "**a**" and "**c**" are downward while wave 2 is upward.

Figure 1: Wave 1 to Wave 5 up followed by "3 wave" correction down



Bearish Waves

Every action is followed by a reaction. [Base Assumption]

1. Market spends most of its time going sideways before it breaks out.
2. Then the Market Breaks out below the lows of the range or consolidation. When that happens, it tends to gain momentum in that direction, a strong bearish trend is formed.
3. That first break usually moves in sequence of 5 Waves.
4. Out of the 5 waves the 1st , the 3rd and the 5th waves go Downward while the 2nd and 4th wave go against it in upward direction.
5. The 2nd and 4th waves are smaller than the 1st, 3rd and 5th waves.
6. The 5 Wave Bullish sequence is then followed by the Reaction and that reaction usually has 3 waves sequence that goes in the downward direction.
7. Within the 3 waves downward sequence (marked as "ABC") the first wave is wave **"a"**, 2nd wave is wave "**b"** and 3rd wave is wave "**c"**. Wave "**a"** and "**c"** are downward while wave 2 is upward.

Figure 2: Wave 1 to Wave 5 down followed by ABC correction Up

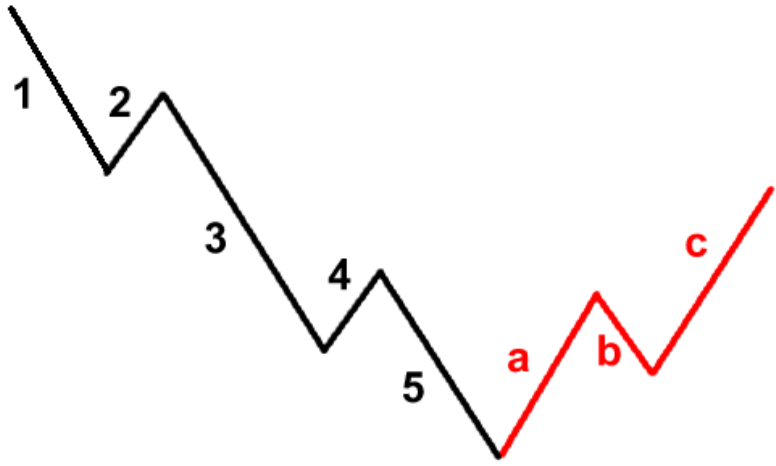
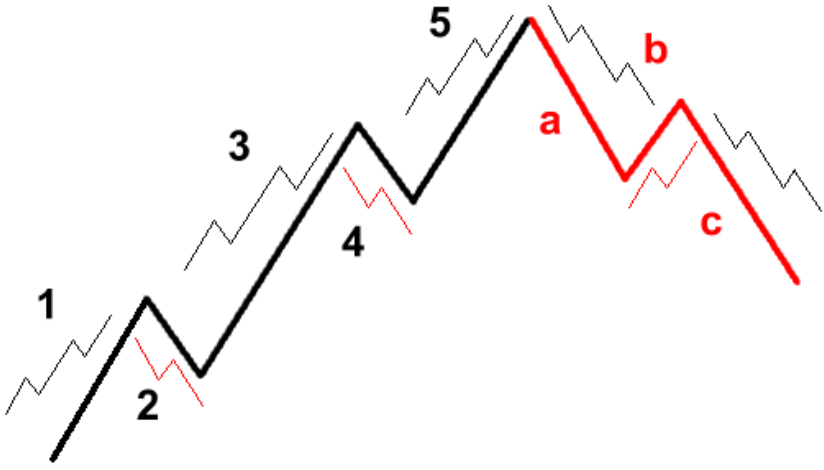


Figure 4

Figure 3: Every impulse wave is made of 5 waves and every corrective wave is made of an a,b,c pattern.

Think Waves within Waves Within Waves



Once Again:

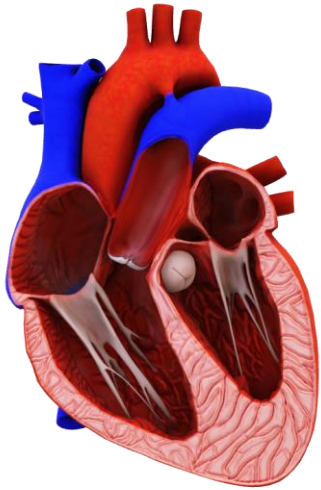
NOW THIS IS THE TIME YOU USE YOUR IMAGINATION…

Imagine this sequence of 5 up and 3 down. And ZOOM IN or ZOOM Out like the Mandelbrot Set video I asked you to watch above. If you have not, **WATCH IT NOW.**

And if you could picture it you would be able to zoom in on the Wave 3 , inside you would see this sequence of 1-2-3-4-5 up, ABC down, then you would zoom in on the 3 again and you would see it again. Then again, on another smaller 3, zoom it in, see it again and so on and so forth.

That is why we say:

A SETUP IS A SETUP IS A SETUP



THIS IS ALL IT TAKES FOR THE UNIVERSE TO CREATE SUCH COMPLICATED LIVING BEINGS

CHAPTER 9:
THE 4 CARDINAL RULES OF ELLIOTT WAVES

- Introduction to the 4 cardinal rules
- Application of the 4 rules
- How to predict impulse waves

Chapter 9: The 4 Cardinal Rules of Elliott Waves

The Elliott wave sequence follows these cardinal rules. If the chart you are looking at does not follow these rules, your wave count might not be correct. (tell me about it…)

Cardinal Rule #1 Wave 2 can be as big as wave 1 but cannot be bigger than wave 1

Cardinal Rule #2 Wave 3 is always the biggest wave in the sequence.

Cardinal Rule #3 Wave 4 cannot pullback so much that it enters the region of wave 1

Cardinal Rule #4 Wave 5 peaks must go past the high of wave 3.

Powerful Observations:

During countless trades that we took on our live accounts and the unlimited setups we examined during our extensive research we have found the following to be true.

Statistical Fact # 1: Wave 4 usually retraces to regions where the Wave 3 has its wave 4. [Hint: We have The Purple Line for this]

***Note**: It is slightly an advanced concept, if confusing, forget about it for now. It doesn't really matter right now. As you progress through the course it will become clearer with time.*

Statistical Fact # 2: Wave 5 will move between 60%-100% the distance of Wave 3.



You should be like "oh wow"…

Because this is a powerful fact. Pay attention to this rather simple fact because this changes everything. More on this later.

WHY THIS LOGIC APPEALS TO THE CLEVEREST TRADERS AROUND THE GLOBE YET ITS FALSE

It is obvious that the Biggest Wave within an Elliott Wave Sequence is Wave 3. And it makes the greatest sense that we should trade wave 3. After all, that is where all the moves happen.

And then the question arrives, what is the most effective way to get into wave 3? The answer we get usually goes something like this.

The way to be in wave 3 is to watch for Wave 1 and Wave 2.

And until we had our epiphany in 2014, we tried to catch Wave 3 as well. We use our beloved strategy we called The Setup.

The Idea was simple.

Catch a breakout after a strong consolidation or a tight range and you have a higher chance of catching wave 3. Simple Right?

Within our core trading strategy, we like to call AIMS – The Setup strategy we shared that the way to catch 1-2 is to watch the Bill William's Awesome Oscillator.

Look for when it is at the Zero Line, that is where you will find Wave 1-2 on price charts. Also, if you apply the Alligator Indicator, the gator lines should be intertwined around that time.

In other words, we taught and caught Wave 3's by taking the Signal Generated by our Strategy called The Setup. The Mantra was to…

Wait for The Setup Signal Because… The Setup Gets You in to Wave 3

But sadly, catching Breakouts from Ranges can lead to too many false signals. You might have heard many traders moan about breakouts. Some would even stop talking to you if you told them you trade breakouts.

How to Predict Strong Impulse Waves?

New Impulse Waves come out of sideways or corrective markets.



Wave 1 and 2 are usually quite insignificant compared to its corresponding 3rd wave. In fact, in a sequence of 5 waves, wave 1 and 2 could be the smallest; but do not bet on it.

If you were to use our **AIMS The Box Indicator** then you would use the following logic.

> When the market creates a tight sideways “boxed” range, the longer it stays in the box, the higher the probability of a strong breakout. But it's ok, you can

still draw a box manually using one of the drawing tools like in the picture above.

And AIMS – The Setup strategy will get you into those Wave 3 breakouts.

But then we learned something more powerful. Before I go into that lets first learn to count Elliott Wave using a Simpler method. Next chapter… Secret #2.

CHAPTER 10

THE POWERFUL SECRET #2

- Understanding this secret will revolutionize how you see the market forever
- Price Chart Vs Histogram
- Why is AIMS Wave better than Counting Waves on Price Chart

Wave counting could be a daunting task. No wonder they say that if you put 10 Elliotticians in a room they will give you 20 different counts of the same chart.



So, the question is, if that is true what use is Elliott wave then? How objective is this method?

Let me tell you this. The method that I am about to show you is 100% objective.

Using this method, whether you are in Singapore or Cancun you will both agree on the count. Yes, it's Grounded analysis.

So, let me now share with you, Secret #2.

So, this is the most important thing about counting the waves.

That,

> *We do not count Elliott Waves on the Price Chart*. **Instead we use AIMS Waves Indicator.**

You will learn about the AIMS Wave indicator in the next chapter.

The secret to counting Elliott waves without subjectivity is to use AIMS Wave Indicator instead of price chart.

This concept was originally introduced by Dr Bill Williams. He found that there was a simpler and easier way to count Elliott waves. The traditional Elliott Wave technique involved complicated wave count. This often leads to frustration and mistakes.

It was evident to Dr Williams that although the market moves in waves, it “DOES NOT MOVE IN PERFECT ELLIOTT WAVE”.

This is the secret you must understand. Elliott Wave is NOT perfect. *It is subjective*.

Wave Count on Price Chart Vs AIMS Wave Indicator

Counting waves on the price chart is the traditional method. However, this method of counting Waves on the AIMS Waves Indicator inspired by Bill Williams method of counting waves on the AO, is a **clearer, simpler, easier method**.

Wave count using price charts could be very confusing and inaccurate and more importantly “time consuming”. **Whereas you can count Elliott waves within 10 seconds using AIMS Waves Indicator.**

What if I don't have The AIMS Wave Indicator?

If you do not have an AIMS Wave Indicator it's ok, we will send you one for FREE as a Gift, but you must make sure you are subscribed to our mailing list. Alternatively, if you have another strategy and would like to incorporate this concept into it then simply use the standard built in AO indicator provided by the MT4 platform.

The next question is, how do you do that? The way to do that is to understand AIMS Wave or AO.

Understanding AIMS Wave or
Understanding Elliott Wave is roughly the same thing.

So, GET THIS…

Once you understand the simple concept of counting waves using AIMS Wave or in other words, once you understand how to trade with AIMS Wave, you won't have to meticulously count and label waves with numbers. And in doing so, you will automatically be in line with Elliott Wave.

You should be able to find the wave count within 10 seconds.

If you are unable to find which wave you see on the chart, you immediately know you are in Wave 0. There is really nothing to it.

It is simple.

CHAPTER 11
AIMS WAVE INDICATOR

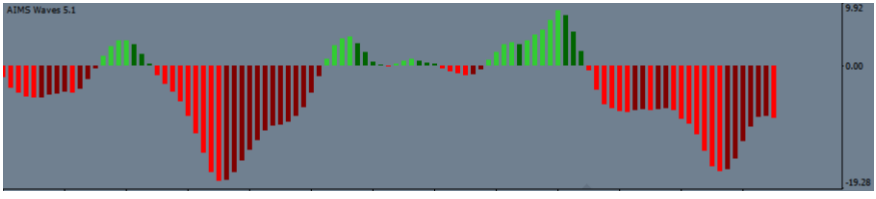
- Learn what is the AIMS Wave Indicator
- Understand how to use it
- Learn how to Count Waves using this indicator
- Why is this indicator worth 7 figure

Introduction to AIMS Wave

AIMS Waves Indicator is an Oscillator type of indicator that appears in a second window below the price chart. AIMS Wave is calculated using a 34-period simple moving average, plotted through the middle points of the bars (H+L)/2, which is subtracted from the 5-period simple moving average, built across the central points of the bars (H+L)/2.

It shows us quite clearly what is happening to the market driving force in the present moment - it shows momentum.

Above the Zero Line, it remains green and dark green. Below the Zero Line it remains red and maroon.



AIMS WAVE Shows Momentum

Red Bars:

- Momentum of the Wave is down and Increasing
- Possible Impulse Wave down

Maroon Bars:

- Momentum of the Wave is down but decreasing
- Possible Corrective Wave up

Light Green:

- Momentum of the Wave is up and Increasing Possible Impulse Wave up

Dark Green:

- Momentum of the Wave is up but decreasing
- Possible Corrective Wave down

When the AIMS WAVE bars change to darker tones i.e. from lime green to dark green, for up-trends, and from red to maroon, for down-trends, we know that the market is taking a breather or reversing.

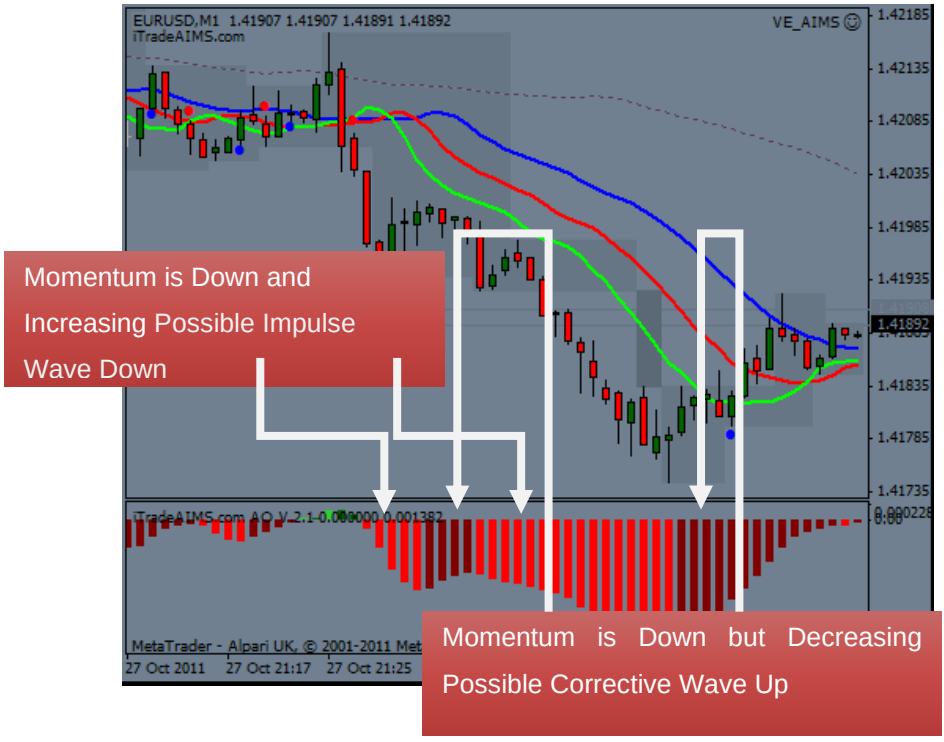
Magic happens within those darker tones. Those darker tones of AIMS Wave often represent times of great opportunities.

Next, let's have a look at some pictures of charts with the AIMS Wave Indicator (histogram) at the bottom.

The Zero Line is the level where AO changes colour.



Momentum is up and increasing
Possible Impulse Wave



Market Moves in Waves

We all know that the market moves in waves. Our charting software proves that to us every second, every minute. Price does not go up and down in a straight line - it creates waves.

Up-Trend: Waves that take the price up are relatively longer than the waves that bring the price down again.

Down-Trend: Waves taking the price down are longer than the waves bringing the price up again.

AIMS Wave Shows the Up and Down Waves and its Momentum

- In an up-trend the price up swing is longer than the swing down and vice versa for down-trends – Aims Wave captures those waves very nicely.
- AIMS Wave displays these waves in the form of a histogram.
- Consecutively longer bars show rising momentum.
- The Zero Line is normalization - it is the equilibrium point where the buyers and sellers agree on price.
- On the other hand, peaks of AIMS Wave show abnormal levels, where price cannot stay too long and buyers and sellers will seek to take control from one and other.
- Likewise, price cannot stay at equilibrium point for long too, it must break that equilibrium soon and let the dynamics of the market form a new trend.
- And so, it continues, to and fro like this forever.
- Understanding this market behaviours defines our Edge.



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In the picture above, I have drawn a line depicting the wave as I see it, using both the price relative to Price Chart and The Pattern of AIMS Wave Histogram. The major peaks help me see the overall wave; the little peaks on the Histogram show me the waves within waves.

CHAPTER 12
SIMPLE RULES

- Understand The 4 Ground Rules of Elliott Wave
- Examples of how to apply the rules effectively.
- How to get the most perfect count?

Before we start counting waves using AO or AIMS Wave let's first understand a few ground rules.

The 4 Ground Rules of 10s count

These are the Ground Rules you must adhere to get an accurate “Count of the Wave in Question”. The Complete Sequence of Wave 1 to Wave 5. These are updated rules we shall apply starting the Year 2020.

We count the waves using the Histogram Bars of **AIMS Wave Indicator**. To get an accurate count you need to follow these simple rules. So, let us set some parameters first.

How to Get an Accurate Count?

To Get Accurate Wave Count you must observe this principle.

For a given “section” of a Chart that you want to count the waves, the following rules apply.

Suppose you want to check wave count from Point A to Point B on a Chart then:

Ground Rule 1:

You must have between 100 to 140 Bars on AIMS Wave to get the accurate picture of a Completed Elliott Waves Sequence from Wave 1 to Wave 5. [Read this Again – **Important**]

Ground Rule 2:

If histogram bars on AIMS Wave or AO > (greater than) 140 = Too many bars (Too much information)

Ground Rule 3:

If histogram bars on AIMS Wave or AO < (less than) 100 = Too few bars (Insufficient information)

Ground Rule 4:

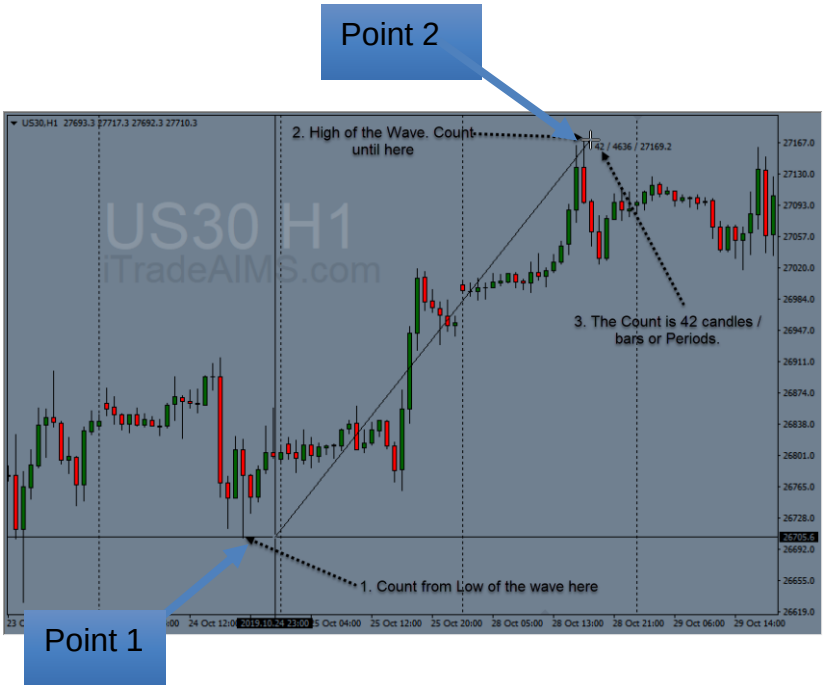
This method of Counting Waves using AIMS wave or AO is used per time frame only. So, the count you get will be correct only for the Time Frame you are looking at. Keep this in mind.

Further Illustration using a Price Chart

Point 1: Have a look at this chart below. You are looking at the region on your chart between the lowest point to the highest point as marked. Number 1 is the lowest point on the chart.

Point 2: This is the highest point on the chart in question. It is a chart of the Dow Jones Industrial Average of the US30. The time frame is hourly. This means every price candle represents one hour.

Point 3: At this point this Wave Up consists of 42 candles from bottom to top.



In this case the count you get, using AIMS Wave might be incorrect. That is because you need a **min of 100 bars and maximum of 140 bars** on AIMS Wave to get an accurate count. Let me show you a picture of the above Chart with AIMS Wave and Bill Williams AO.



Figure 5: Chart with AIMS Wave Indicator Attached

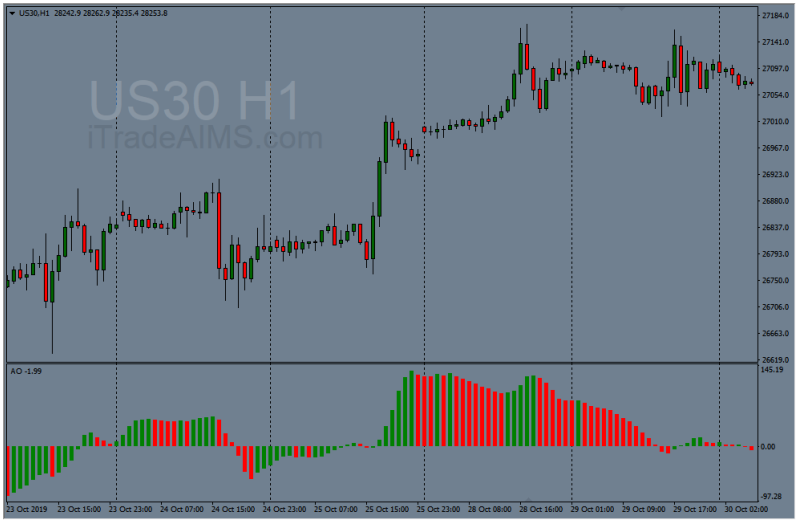


Figure 6: Chart with Standard Awesome Oscillator Indicator Attached

Behold the chart above, jazzed up with the "Awesome Oscillator" (AO) - the life of the party! See that massive histogram peak above the Zero Line? That's Wave 3, making a grand entrance.

To count Elliott Waves with AIMS Wave, simply tally up those peaks on the Histogram - it's like counting dance moves on a wild night out!

But hold up, let's lay down some ground rules for our Elliott wave boogie with AIMS Wave. Because who doesn't love rules at a party, right?

Now, I know you've been eyeing our stunning indicator and can't wait to get your hands on it. So, how about a deal? I'm granting you **FREE access to our exclusive Members Only Area,** where you can...

Download AIMS Wave for FREE. Good offer? Cool!

So, I offer you FREE Guest Membership to our Membership Area.

Step 1: First register your account as Guest member using this Link: FREE MEMBERSHIP

Step 2: After signup, follow this link to go to AIMS Wave page and Download AIMS Wave Indicator for FREE 👇

(Free Membership Registration Required)

CHAPTER 13
THE SIMPLE PROCEDURE

- Simple Method explained in 5 Steps
- How to count under 10 seconds
- Easy step by step procedure

How to Count Waves under 10 Seconds Using AIMS Wave

Let's go over the following steps to learn a very simple but powerful technique. This will allow you to count Elliott Waves within 10 seconds or less.

Step 1: Establish the Range

Suppose you are trying to count the Elliott Wave between two points in time on the Chart below. Let us assume Point A as the start of the wave up and Point B as the end of this bullish wave. It is important to identify this range.



Figure 7: The picture above shows AIMS The Setup Strategy Template. This is the chart of DAX30 on the monthly time frame.

Next we need to identify the peaks on the AIMS Wave Histogram relevant to Point A and Point B on the Price Chart.



Figure 8: The chart above shows the relevant peaks on the AIMS Wave histogram

STEP 2: COUNT THE PERIODS

Alright, folks, time to channel your inner detective! You've pinpointed Points A and B on the chart and scoped out those relevant peaks on the AIMS Wave indicator. Give yourself a pat on the back!

The Rule:

Minimum of 100 Periods between Point A and B.

Maximum of 140 Periods between Point A and B.

Now, grab your magnifying glass and count the periods between Points A and B like you're cracking the Da Vinci Code.

Remember, your quest for the perfect range demands a minimum of 100 periods and a maximum of 140. Why? Well, that's all thanks to the **Ground Rules we laid down in Chapter 12,** the rulebook for fancy chart aficionados.

If you dare to venture beyond 140 bars/periods, you'll find yourself in the land of inaccurate counts. On the flip side, less than 100 bars/periods will leave you with too few breadcrumbs to follow, resulting in an equally incorrect count. Stay sharp, my friends!

STEP 3: WHICH PEAK IS THE HIGHEST

Now that you have established the count zone between Point A and Point B look at the AIMS Wave histogram Bars. This is where magic happens.

THE SECRET TRICK TO SPOT WAVE 3:

And now, ladies and gentlemen, we present the grand reveal of Wave 3!. This is the simplest, most powerful trick. Are you ready?

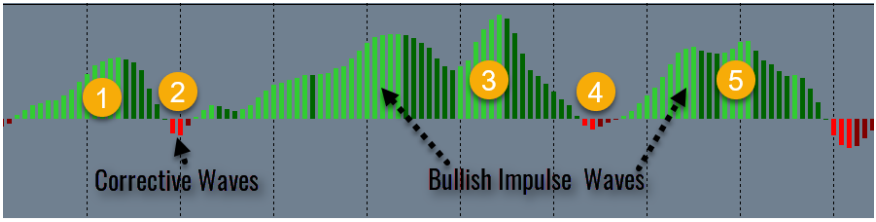
The Tallest peak between Point A and Point B is WAVE 3.

That's it. Nothing more to it.



THE RULES FOR BULLISH WAVE COUNT:

a) Peaks above the zero line of the histogram show impulse waves. That is wave 1,3 and 5.
b) The Highest (tallest) Green Peak is **Bullish Wave 3.**
c) The Peaks below the zero line show corrective waves. That is wave 2 and 4.
d) The 2nd Tallest peak has divergence and shows Wave 5



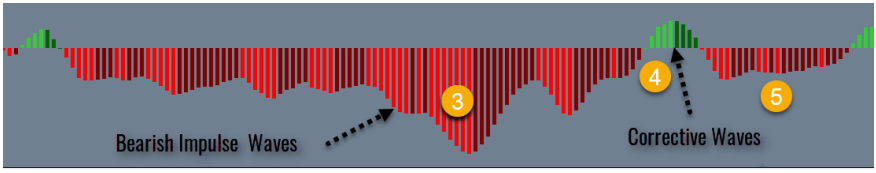
THE RULES FOR BEARISH WAVE COUNT:

a) Peaks below the zero line of the histogram show impulse waves. That is Wave 1, 3 and 5.

b) The Lowest (tallest) Red Peak is **Bearish Wave 3.**

c) Peaks above the zero line show corrective waves. That is wave 2 and Wave 4.

d) The 2nd Tallest Peak has divergence and shows Wave 5



In the picture below we see that the tallest peak is the Green peak marked with blue arrows. We have identified its relevant peak on the price chart as well. **This is Wave 3**



Point B: This shows the second tallest peak on the histogram in connection with the tallest peak on the chart. You can see that there is divergence. This will prove very useful. Because this divergence is our way to point Wave 5.

STEP 4: CHECK THE ZERO LINE CROSS

THE SECRET TRICK TO SPOT WAVE 4:

After identifying the tallest peak, keep your eyes peeled for a Zero Line crossover. This happens when our star, Wave 3, takes a bow and retreats back to the Zero Line.

Once you've spotted Wave 3 and its grand exit, it's time for Wave 4 to make an appearance. On the chart above, you can see Wave 4 waltzing in after Wave 3 crosses the Zero Line against the green peak. Notice how the bars on the AIMS Wave don't tower too high? That's because Wave 4 loves to play it cool and retrace against its bullish buddy, Wave 3.



After you have identified the tallest peak i.e. wave 3 the next step is to look for a Cross of Zero Line. This cross of the Zero line happens after the Wave 3 peak comes back to the Zero Line. This is the cross of the Zero Line after the peak that identifies wave 3.

Wave 4 can only be identified after you have identified wave 3. On the chart above, once I was able to mark wave 3, I looked at the cross of zero line against the Green peak marked Wave 3. Marked on the chart, you see it crossed the zero line and created red bars below the zero Line.

Notice that the bars on the AIMS Wave were not too big. This is a retrace against a Bullish Wave 3. **This is WAVE 4.**

Rules for Confirmation of Wave 4:

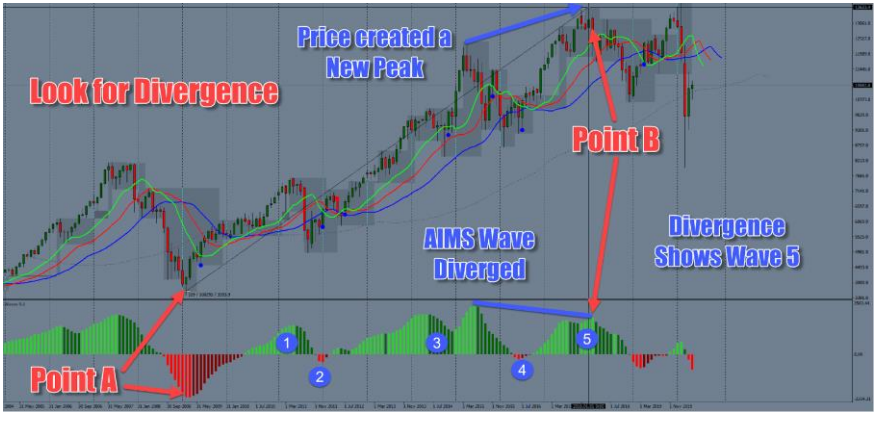
- AIMS Wave must cross the Zero Line after the peak of Wave 3.
- This is the minimum requirement for Wave 4 confirmation.
- Price must not cross the purple line. [This is part of AIMS Gator]

STEP 5: LOOK FOR DIVERGENCE

THE SECRET TRICK TO SPOT WAVE 5:

With Wave 3 and 4 identified, we're ready to roll out the red carpet for Wave 5! Just wait for the price to boogie back in the direction of Bullish Wave 3. As you can see, our chart captures the price dancing upwards toward Point B

You can see in the chart below the price continued Upwards towards Point B.



DIVERGENCE IS THE SECRET KEY TO FINDING WAVE 5

The secret to unmasking Wave 5? Divergence, of course! When the price resumes its dance in the direction of Wave 3 but strikes a divergent pose, that's when you know *Wave 5 has arrived.*

Still puzzled about divergence? Fear not, my friends - it's as simple as a two-step!

When price resumes in the direction of Wave 3 but creates a divergence then that is our confirmation of Wave 5.

So, in the picture below you see that although the price went up again, AIMS Wave histogram shows a **divergence**.



If you do not know what a divergence is then do not worry it is a simple concept.

What is Divergence: *It simply means that there is a new price high but there is no new high on the AIMS Wave histogram. As shown in the figures above and below.*

You see that after a peak of a wave the next wave creates a new "Price High" on the price chart but the AIMS Wave histogram does

not create a new Higher Peak. This is Divergence. And this divergence is our **Key to Finding Wave 5.**

Rules for Confirmation of Wave 5:

- Price must go higher than the previous high that created wave 3.
- AIMS Wave must not go higher than the previous peak that identified wave 3. This creates the divergence
- Wave 5 usually would end between Fib Expansion reading of 62 and 100. We call it Target Zone 1 (Fib 62) and Target Zone 2 (Fib 100)

CHAPTER 14

PREDICT END OF WAVE 5 WITH 80% SUCCESS RATE

- How to Predict The End of Wave 5?
- Where to Set Your Take Profit Levels
- Ground Rules for Wave 5
- Fibonacci Expansion

We can also predict where Wave 5 might end.



8 out of 10 times, Wave 5 ends between Target Zone 1 and 2.

We draw Target zones using a Study/ Draw Tool available in most trading platforms. It is called the Fibonacci Expansion Study.

I made this Video years ago now [How to Draw TZ1] Watch on YouTube for Free.

What is Target Zone 1 = The Fib Expansion reading of 62%

What is Target Zone 2 = The Fib Expansion reading of 100%.

GROUND RULES ABOUT WAVE 5

- Wave 5 will end between Fib Expansion 62% to 100% of the distance between Start of Wave 1 and Peak of Wave 3.



- 8 out of 10 times wave 5 will end between Fib Exp 62% to 100%.
- If price exceeds Fib Exp 100% during Wave 5, it will most probably turn into a New Wave 3
- If Wave 4 retraces more than 50% that is around 62% or more, chances are that wave 5 will not cross the peak of Wave 3 (These are called Truncated Wave 5's)

After the 4th wave, AO crosses the ZL again in the direction of the previous peak but this time it diverges - this divergence confirms the Fifth Wave.

Getting into a Wave 5 could be tricky, because it comes out of a Wave 4. But if you follow the rules of AIMS The Setup One you can maintain an **80% win Rate.**

Wave 3 and 5 usually behave in a predictable manner. But Wave 4's have 3 types. The 2 types are predictable, but the 3rd type is very nasty.

Because of this, for the purpose of trading wave 5, we only consider focusing on the 2 kinds of Wave 4's that are predictable. This predictability makes it tradeable. Those are 1) The Flat Wave 4's and 2) The Zig Zag Wave 4's.

[Note these are not the same terminologies as used by Frost and Prechter in their book Elliott Wave Principle.]

We can always make our job simple though: JUST TRADE THE SETUP ONE

Fibonacci Expansion

This is a standard MT4 tool. The Concept behind this is that 5th Wave is usually, lengthwise around 62% of Wave 3.

We plot FE 62 and 100, starting from the start of Wave 1 to peak of Wave 3 and bottom of Wave 4. We can then start looking for

exit signals when price enters the FE 62 and FE 100 zone. Please check the video section of the Forum for a video on the Fib Expansion Tool.

Fibonacci Expansion is largely like Fibonacci Retracement and intended for determining the end of the fifth wave. Unlike Fibonacci Retracement, this instrument is built by drawing two lines. First line is drawn from the start of wave 3 to the end of it. The next one is drawn from the end of wave 3 to the end of Wave 4.

First, the line of the first wave (wave 3) is drawn, its height will be considered as a unit interval later. The end of the second wave (wave 4) serves as a reference point for building an invisible vertical line.

The corresponding lines are drawn from the reference point on the interval equal to 61.8% and 100%. You will also find 161.8% of the unit interval but we do not use it because we are looking for where Wave 5 will end and not wave 3. The third wave is considered to finish near these levels of 161.8% to 200%.

Drawing Fib Expansion in MT4 (Target Zone 1 and 2)

To draw Fibonacci extension, one should select this object and indicate the first point of the first wave in the chart. After that one should define the second point of the first wave. To plot the second wave one should click on the second point of the first wave and hold the mouse button to draw it. When selecting each point additional parameters will be shown near it: distance from the initial point along the time axis and distance from the initial point along the price axis.



FIBONACCI EXPANSION SETTINGS

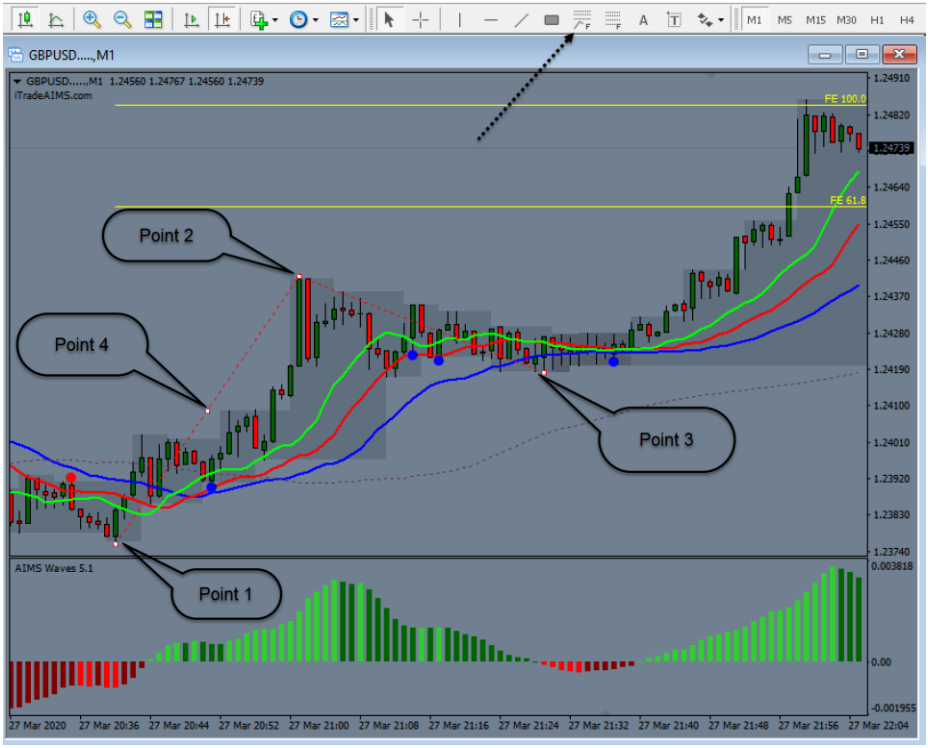
There are 4 points that can be moved by a mouse. Marked as Point 1,2,3 and 4 in the picture below.

Point 1: This is the first line and it has 3 points. Click on Point 1 and move to where you think is the start of Wave 3.

Point 2: Now move Point 2 to where you have identified as the peak of wave 3.

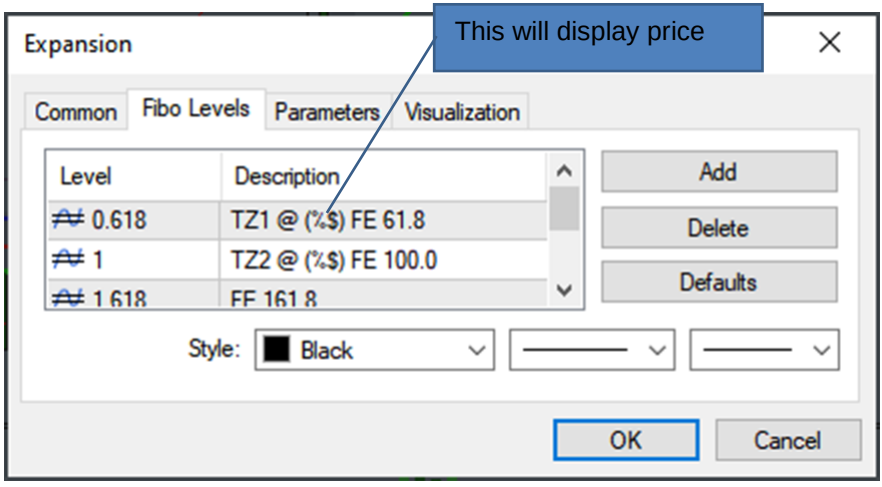
Point 3: The second line consists of point 2 and point 3. Move point 3 to where you have identified as the bottom (peak) of wave 4.

Point 4: The crucial point (moving point) is used for moving the whole object without changing its size and shape.



Levels Tab

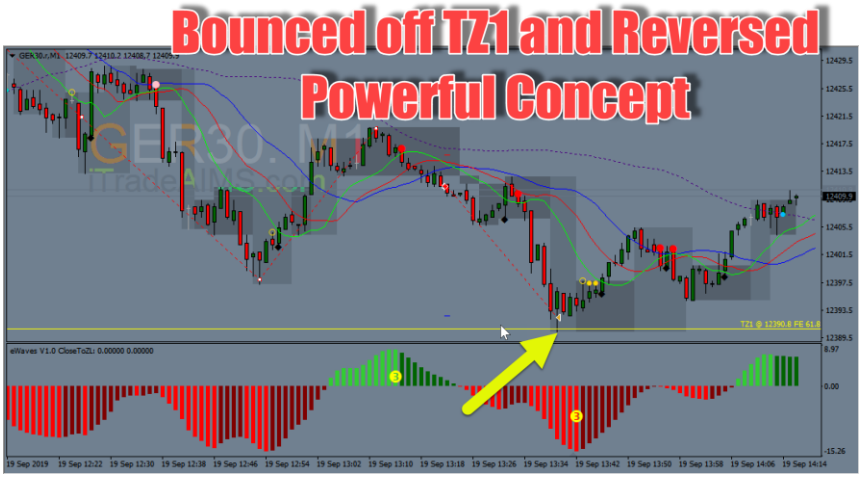
This tab is intended for managing levels of the tool. The Fibonacci Expansion has the additional feature of displaying the price value of each level. To do it, specify the (%$) symbols in the "Description" field. I have added TZ1 and TZ2 to make it easier. You can copy these settings.



Following is an example of counting Elliott Wave within 10 Seconds and the 5th wave target zones using the Fib Expansion Tool



Another Example where Target Zone 1 picks the End of Wave 5 and Wave 1-5 Sequence.


Bounced off TZ1 and Reversed
Powerful Concept

CHAPTER 14
TIPS AND TRICKS

- Wave 3 is the strongest move after which comes Wave 4.
- Wave 4 is followed by the 5th wave.
- Wave 5 is relatively smaller in length than its respective 3rd wave.
- By the Law of Fibonacci, Wave 5 is approximately 61.8% (the Golden Ratio) of Wave 3.
- Fibonacci Expansion Tool can be used to predict the peak of Wave 5.
- 8 out of 10 times Wave 5 ends between FE 62 and FE100.

THIS IS THE BIGGEST SECRET OF WAVE 1 AND 2.

8 out 10 times Wave 1 to 2 will occur when the AIMS Wave Indicator shows reading close to its Zero Line.

Most Elliott Wave Counters live and die for this. They want to find out where Wave 1 and Wave 2. The logic behind it is that they look for Wave 1 and Wave 2 so that they can get into Wave 3.

But this is the biggest mistake because…

Wave 1 and 2 happens within sideways and boxed markets. There is not much happening, and the market is not very active. Trader's make money during trending markets and give it all back during these sideways markets stuck within a tight range.

That is why I do not look for spotting Wave 1 and 2. Instead I use a technique which allows me to trade only when I see a clear trend. I can say that I wait for my favourite setup that I'd like to call AIMS The Setup One. The Setup One is the answer.

The Setup 1 Gets me into Wave 5. Sometimes it can get me into Wave 3 as well. But don't worry if you don't know what is a Setup 1. If you apply this method you will automatically learn how to trade the Setup 1. Alternatively you can visit our Blog www.iTradeAIMS.com and/or Website www.iTradeAIMS.net to

learn more. So I can say I am only interested in waves 1-2 that appear near the ZL of the AIMS Wave Indicator.

If you are not a member of AIMS yet, do not worry about the lack of understanding the above paragraph. The point I am trying to make is, **you do not need to know where Wave 1 or 2 is.** You know why?

Because it usually happens inside a range. That is, it.

Conclusion: Do Not Focus on Spotting Wave 1 and 2. Focus on spotting Market Range / Sideways Boxed Market. When the market breaks out of a tight range it goes straight into wave 3.

(Do not worry, you will learn about "The Setup One" soon)

WHAT IF THERE ARE LESS THAN 100 BARS?

Sometimes you want to count the waves on the chart, but the chart does not have the required number of periods between Point A and Point B. Such as when there are less than 100 candles. So how do you get the desired number of bars i.e. between 100-140 bars? The answer is **Time Frame Manipulation.**

Because we need 100-140 candles to get the accurate count, we can split the chart. So if we switch from an hourly chart (h1) to a thirty-minute chart (M30), we will double the number of candles.

Suppose you count 50 periods between Point A and Point B. You know that you must get at least 100 periods to get an accurate count.

To do that you simply switch to the M30 chart. This will split each hourly candle into two candles. And in doing so, you will now have 100 candles/periods between Point A and Point BE.

THIS TRICK OF SPLITTING CHART IS EASIER THAN SPLITTING HAIR

When a wave on your chart is made of 60 bars of AIMS Wave, you can split the chart into two to increase the candles. So, in this case if you drop to the 30-minute chart. Which is half of the hourly chart. Then the wave in question, between point A and Point B, will consist of 120 candles and thus 120 bars on AIMS Wave.

WHERE TO LOOK FOR WAVE 1-2

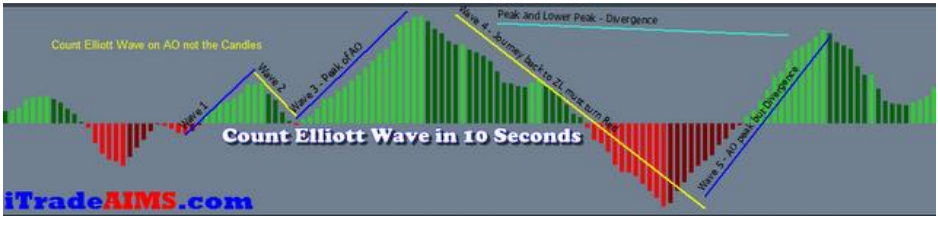
Characteristics of Wave 1 and 2:

- These waves are relatively small.
- They appear within trading ranges or occasionally near peaks of strong trends.
- To spot waves 1 and 2 on AIMS waves look for them when the histogram is relatively close to the zero line.

If you are suing AIMS The Setup Indicators then do this:

Look for Wave 1 and 2 when Alligator is asleep and AIMS Wave Histogram is close to Zero Line.

It is not necessary to be in search of 1-2 but it is an interesting activity. After all there is not much to do but wait and take a setup as and when it appears, that is all. **But frankly you don't need to know where Wave 1 or 2 is in order to find wave 3. That is the point.**



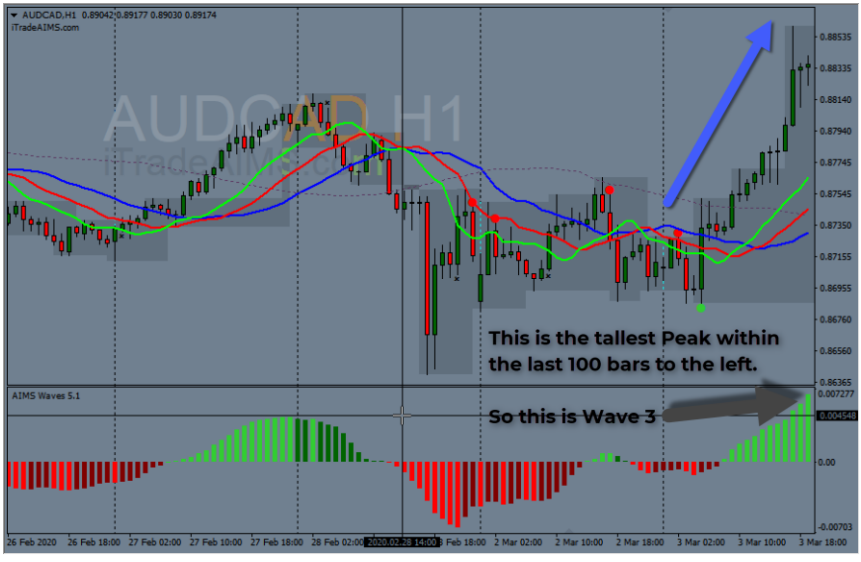
HOW TO FIND CURRENT WAVE 3 ON THE RIGHT SIDE OF THE CHART?

The following process will allow you to identify the current wave 3 on the right end of the chart.

> Look back 100 candles to the left of the current price. Check to see where the tallest peak on the Histogram Bars (AIMS Wave or AO).

If it is a Green Peak, you have a Bullish Wave 3. The figure below shows a Strong Wave 3 Up i.e. a Bullish Wave 3.

Peak of AO or AIMS Wave Identifies 3rd Wave



How to Trade into Wave 3?

To get into Wave 3, we use our setup. But here is what you can do without using AIMS the Setup Indicators.

Step 1: Identify A Trading Range.

Step 2: Take a breakout entry above or below the range

This is the simplest way to get into potential Wave 3.

2 METHODS OF TRADING WAVE 3 WITHOUT LOSING YOUR SHIRT

THE FIRST METHOD:

The First method, which is our preferred method is to trade according to Trading Strategy we call AIMS The Setup. The Setup strategy has an entry method we call The Classic Breakout Entry.

This entry type will ensure you always hit Wave 3 and even Wave 5 after you'd identified wave 3 and wave 4. Trading Wave 3 and 5 is a very profitable way of trading.

But if you don't know AIMS the Setup Strategy you can either Get it HERE or go to the Second Method.

But first know that the setup will always let you enter a trade in the direction of the next impulse wave. It will sometimes be Wave 3 and other times Wave 5.

The Second Method:

So, the other way is to use The Free Alligator Indicator plus the AO indicator.

- Step 1: Wait for price to create a tight range,
- Step 2: Wait for Alligator lines to be intertwined.
- Step 3: Check that AO bars are near zero line.
- Step 4: Price should now be in a Tight range. You can draw a rectangle box around the range.
- Step 5: Trade the Breakout of that range.

Note that The opening of Alligator's mouth shows an impulse wave: it could be 3 or 5.

Where to Look for Wave 5

Suppose you have identified the situation where you have traded Wave 3 as above. Wait for price to create another tight range. This time you will trade another breakout in the direction of previous wave 3.

Here at AIMS Stress Free Trading community, trading the Wave 3 used to be our primary objective. But after doing this for thousands of hours and days we have found a more powerful solution.

Members of the AIMS Stress Free Trading Live Trading Room, trade a Trading Setup we call **AIMS The Setup One.**

The Setup One is more advanced and predictable. It allows us to Maintain **80% win rate.** That is a massive number I know. **And it is TRUE.**

The Setup one focuses mainly on trading Wave 5.

Here is an example of a Perfect Setup one



Figure 9: US Oil Chart on the four hour time frame

In the picture above you can see that I have marked the biggest red peak with the number 3.

After we saw wave 3, we waited for price to pullback and Wave histogram to cross zero line and become green.

We then waited for the sleeping gator, inside the AIMS Box. We then traded the breakout of that range below the RED dot.

This allowed us to Trade the Next Wave 5 and Gain as much as **2:1 to 5:1 Reward to Risk Ratio.**

How to Avoid Trading into Wave 4

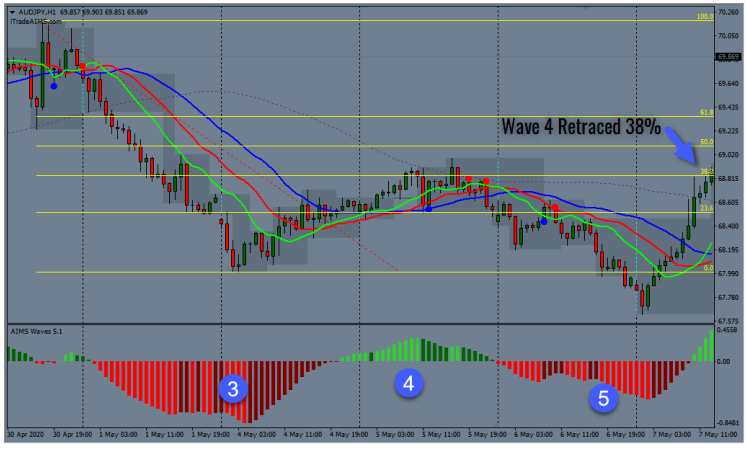
Do not Trade against Wave 3.

Simple!

If we can successfully avoid Wave 4, we *should* never lose money, in the longer term – that, I can almost guarantee. In fact, I would go as far as to say that the defining point between a money-making trader and otherwise is this: “The ability to avoid Wave 4”. It is that simple.

GROUND RULES OF WAVE 4

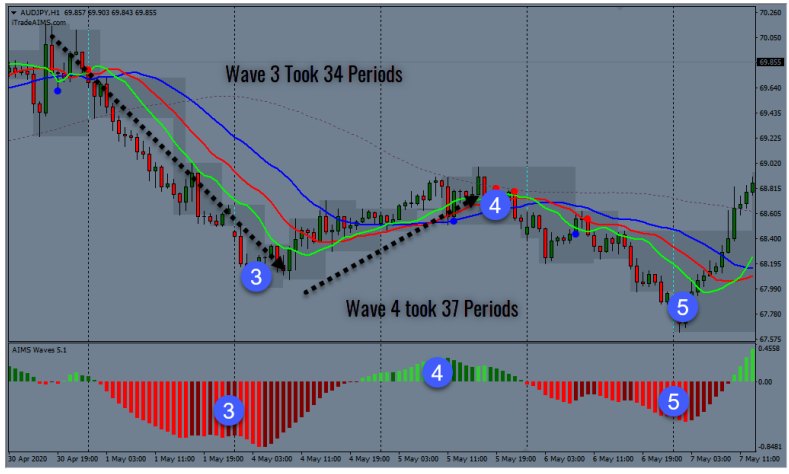
- 8 out of 10 times, the 4th wave might retrace between 38% and 50% after a Wave 3 has been identified.



- Fourth wave usually comes to the 4th wave of lesser degree, e.g. current 4th wave may go to the zone of the 4th wave of the 3rd wave.



- The 4th wave can often take the same amount of time it took between Wave 1 through to the end of Wave 3.



- Many traders give most of their money back to the market during the 4th wave.

MOST EFFECTIVE WAY TO AVOID TRADING INTO WAVE 4

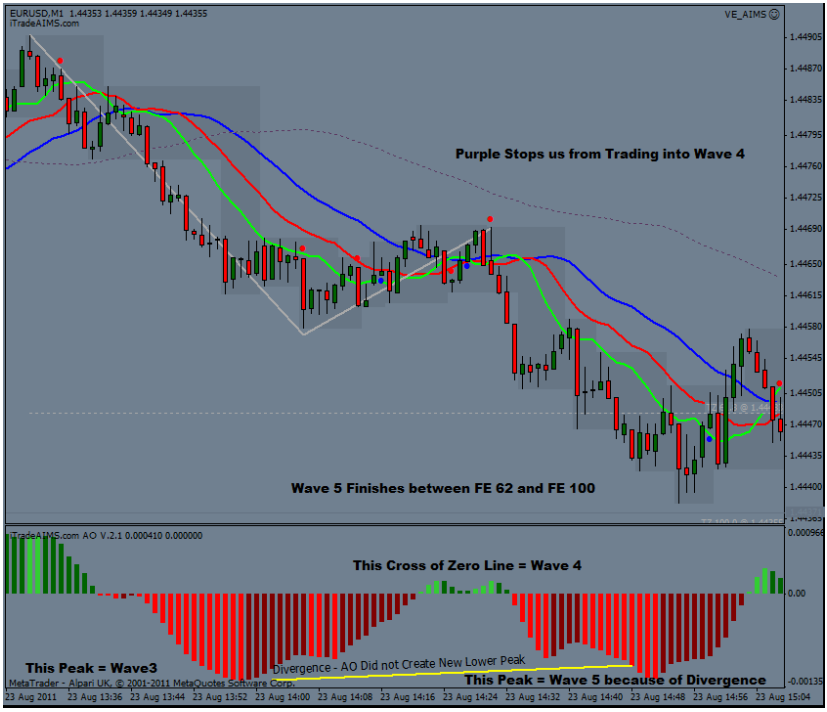
At AIMS Stress Free Trading we use this indicator we call AIMS The Gator. It is basically based on Bill Williams Alligator indicator. But we have a custom modified version of the Alligator we call The AIMS Gator.

The Setup 1 Strategy uses a magic line we call The Purple Line. This is part of the AIMS Gator Indicator. We use the Purple Line to avoid these whipsaws. The purple line keeps us out of trading

into Wave 4. The Purple Line keeps us in sync with the overall trend of the market.

Do not Trade Towards the Purple Line [AIMS Gator Indicator] Always Trade Away From Purple Line





In the picture above the purple dashed line is above the price and the boxes. If price remains below the Purple Line, we will not take long positions. We do not wish to trade against the purple line.

CHAPTER 17
SUMMARY OF HOW TO COUNT ELLIOTT WAVES IN 10 SECONDS OR LESS

Waves 1-2 Usually occur around and near the Zero Line. Don't look for these.

Wave 3 – The tallest Peak of AIMS Wave Histogram identifies the 3rd Wave.

Wave 4 – Histogram Cross of Zero Line against Wave 3 is the minimum requirement of 4th wave.

Wave 5. Divergence between price and AIMS Wave histogram marks Wave 5. This is the confirmation of Wave 5. This happens when the price is between TZ1 and TZ2. If price does not cross the peak of wave 3 then it's probably not a wave 5 or a truncated wave 5 .

APPENDIX
GROUNDED VS UNGROUNDED ANALYSIS

If you do not like Elliott Wave or find it too subjective then you would find comfort in this next statement. It is not necessarily true that we trade Elliott Wave.

Some of us repeatedly say that we do not trade Elliott Wave – because it is an ungrounded assessment, it is an opinion, it is there to give us confidence.

Instead, we take trades based on our system-generated entry and exit signals.

Rest assured, our setup is based on grounded assessments and whether you know Elliott Wave or not, you end up trading Elliott Wave anyway. We achieve this because of taking trades according to our setup rules.

What are Grounded Assessments?

AIMS Indicator 1. AIMS Wave

AIMS Indicator 2. AIMS Gator (Custom Advanced Alligator Indicator)

AIMS Indicator 3. AIMS The Box (A New Dimension of the Famous Fractals Indicator)

AIMS Entry Alert: This is not an indicator on its own, it is an Alert, a Wake-Up Call! It alerts you towards the possibility that there might be a 3-4 Pattern setting up.

Grounded and Ungrounded Assessments

Ungrounded	Grounded
Inaccurate, unverifiable, ambiguous assessments	Accurate, verifiable, unambiguous assessments
This is the third wave	AIMS Wave Has Peaked
This is the third/fifth/first/a/c Wave	Alligator Mouth is Open
This is Fifth Wave	AO has diverged
This is Fourth Wave	Minimum requirement of 4th wave has been met. AO crossed zero line after a peak.
Market is topping out	Price too far from Alligators Mouth
This is a short cover rally	Price inside Alligators Mouth
One should never take more than 20 pip Loss	Put your SL on the other side of AIMS Box.
The seasonal activity will take the market higher	Let Chaos organise itself
London Open always breaks out in one direction then goes the opposite	Bracket the market from Saddle point We do not care which way the market goes.
Between 11am to 1pm is a quiet time.	Trade the Setup
Market is Oversold/Overbought	Price will come back to Balance Line when there is no new incoming information[16]

Did you Like the 10 Seconds Elliott Wave Concept?

If Yes, then you will like the following Books

These Books introduce AIMS Stress Free Trading Strategies.

These methods were carefully crafted and updated over the past 10 years of Trading.

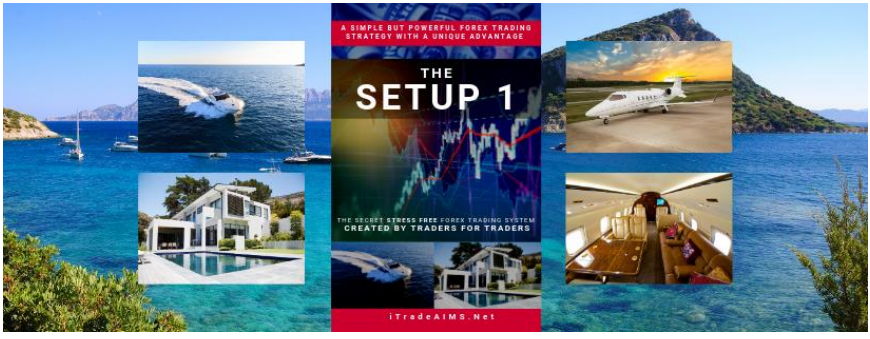
We apply Three Strategies at the AIMS Stress Free Trading Community.

All these methods use the 10 Seconds to Elliott Wave Concept. Learn how we benefit magnificently from expert application of this concept in all our trading strategies without extra effort.

AIMS The Setup Strategy

A STRATEGY TO CATCH THE NEXT WAVE WITH 80% SUCCESS RATE

This "Secret" Method is created By Traders for Traders.

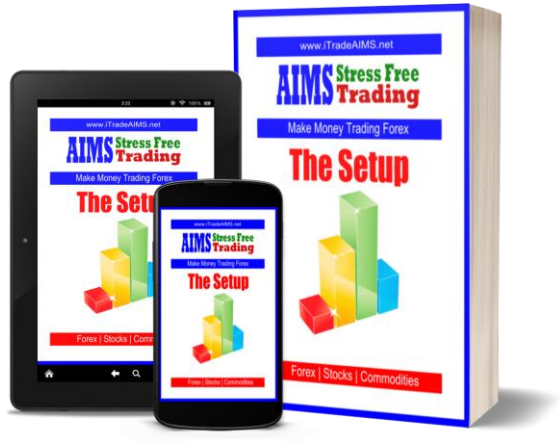


- This book introduces the Strategy called **The Setup**.
- It is our bread and butter strategy that we use daily.
- This is the way of The AIMS Stress Free Trading Community.
- JOIN AIMS Community NOW

Our Trading Motto: "Higher Probability Setups are breakouts in the direction of higher time frame trends". The Setup strategy is based on this concept.

This concept in conjunction with this 10s Elliott Wave Concept is at the core of this strategy.

Grab your copy here www.iTradeAIMS.net



This Book Covers:

1. **The Setup 1** Trading Strategy (Manual)
2. **The 3 Simple Indicators** (AIMS Proprietary Software)
3. **The 3 Simple Rules** (AIMS Secret Trading Rules)
4. The **Perfect** Money and Risk Management Plan.

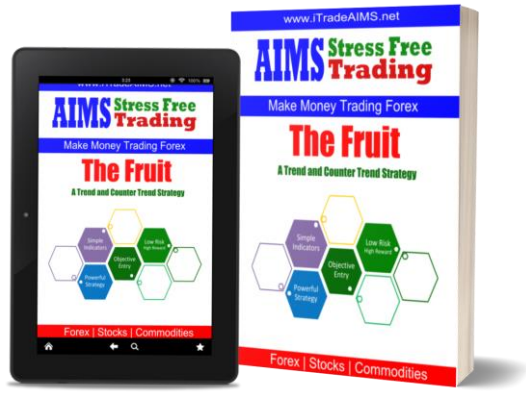
AIMS The Fruit Strategy

A strategy to catch the New Trends where it turns around

Never miss another trend ever again with this strategy.

When the **Trend Ends** What Does It Do? It **Reverses**. Right?

What happens when Price Goes Too Far Fast Away from the Averages? It **snaps back**. Right?



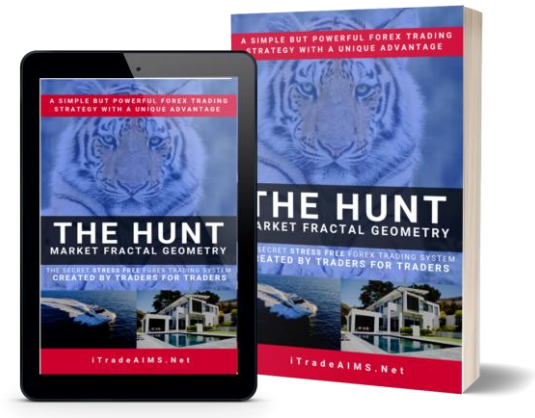
This Book Reveals the Secret System of **How to Catch Tops and Bottoms** of the Market Waves with a *high degree of accuracy*. It also gets you Early into Trends.

AIMS The Hunt

A strategy with 70% Win Rate that is built upon the Famous Setup One. Fractal Geometry is at the core of this method.

It allows you to have the Vision of The EAGLE and the Attack of a Tiger.

This Strategy is predominantly a trend following strategy with a mechanism to pick the highest probability spots where contemporary trends breakout in the direction of the current trend.



- **Yes!** It is more powerful than ever before!
- **Yes!** It is extremely simplified and mostly automated!!
- **Yes!** It is a Set and Forget strategy!!!
- **Yes!** It is for all time frames and markets!!!!
- **Yes!** It's indicators automatically adjust to every time frame!!!!

This exclusive method builds upon the Setup 1 strategy. It reveals the structure of the 5x Lower Time Frame on your current time frame.

This method allows you to trade the Setup 1 of the 5 times lower time frame without switching time frame.

ENDNOTES

1. Randomness is the lack of pattern or predictability in events. A random sequence of events, symbols or steps has no order and does not follow an intelligible pattern or combination. Individual random events are by definition unpredictable, but in many cases the frequency of different outcomes over numerous events (or "trials") is predictable. For example, when throwing two dice, the outcome of any particular roll is unpredictable, but a sum of 7 will occur twice as often as 4. In this view, randomness is a measure of uncertainty of an outcome, rather than haphazardness, and applies to concepts of chance, probability, and information entropy. Wikipedia.

2. https://www.newscientist.com/article/mg22530120-500-chance-is-anything-in-the-universe-truly-random/#ixzz62qixlepd

3. chaos theory. (n.d.). Retrieved 10 20, 2019, from wikipedia: the free encyclopaedia: http://en.wikipedia.org/wiki/chaos_theory

4. Trading Chaos, 2nd Edition, Bill Williams p21.
5. *At AIMS we have a slightly different view on this.*
6. https://en.wikipedia.org/wiki/Robert_Prechter
7. DAX30 Daily Chart May 2019 - Jan 2020 Click to See Full Chart
8. DAX30 Monthly Chart Sep 2004 – Mar 2019 Click to See Full Chart
9. DAX30 Hourly Chart 27th Aug 2019 – 5th Sep 2019 Click to See Full Chart
10. DAX30 One Minute Chart 10.00 to 12.55 9th of March 2020 Click to See Full Chart
11. sierpiński triangle - wikipedia

12. https://plus.maths.org/content/unveiling-mandelbrot-set
13. https://en.wikipedia.org/wiki/Lightning_injury
14. https://twistedsifter.com/2012/09/fractal-patterns-in-nature-found-on-google-earth/
15. Trading Chaos : applying expert techniques to maximise your profits / Bill Williams www.profitunity.com [Highly recommend books]
16. This concept was introduced by Bill Williams in his book Trading Chaos